CHAPTER 8

CONSTRUCTION INSURANCE

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§ 8.01 INTRODUCTION TO CONSTRUCTION INSURANCE

Managing and transferring risk is one of the key features of today's construction industry. Construction companies that manage risk wisely are generally more profitable, have fewer losses, and build bigger projects than their competitors who lag behind in this area.

This chapter provides an overview of indemnification agreements, the critical lines of insurance coverage most commonly purchased by construction industry players (builder's risk, commercial general liability (CGL), excess/umbrella, automobile liability, and workers' compensation), and some significant issues associated with each line of coverage. Each of these topics could fill a book unto itself, so consider this a starting point in your understanding of these issues and not a comprehensive or exhaustive review of the law. The goal is that construction lawyers unfamiliar with concepts of insurance and indemnification (or those who know "just enough to be dangerous," as has oft-been said about this area of the law) come away with a functional understanding of the importance of insurance coverage for construction owners, developers, and contractors.

§ 8.02 MAJOR ISSUES WITH INDEMNIFICATION

[A] Introduction to Contractual Indemnity Agreements

Indemnification provisions are ubiquitous in nearly every form of construction contract. From the simplest purchase order to the most complex AIA agreement, upstream parties (called the "indemnitee" in this context) will typically include language whereby the downstream party (the "indemnitor") agrees to reimburse the upstream party for certain losses or liabilities arising out of their contractual relationship.[1] Indemnity agreements may obligate the indemnitor to pay for, reimburse, or otherwise "hold harmless" the indemnitee for attorneys' fees and costs, judgments, and/or settlements, among other things. Whether, and to what extent, an indemnification provision is enforceable is dependent on state "anti-indemnity" law; as discussed below, most states have codified some form of limitation on construction-related indemnification agreements.

[B] Types of Indemnity Agreements

Although some indemnification provisions can span pages and include extreme amounts of legal jargon, they do not need to be complicated to be effective. A strong indemnification agreement should be clear, concise, and consistent

[1] To remember which party is the indemnitee and which is the indemnitor, consider this trick I learned in law school: the person who is owed the obligation says "gee, I hope they pay me." Thus, the indemnitee receives the benefit, and the indemnitor owes the obligation. This trick works for mortgagors and mortgagees as well.

with the goals of each party. Each party to an indemnification agreement will seek to minimize their loss exposure—upstream parties will attempt to transfer as much of the risk as possible, while downstream parties will attempt to avoid as much risk as possible. This tug-of-war may be impacted by a variety of other considerations, including market share or power, pre-existing business relationships, and other factors.

There are three general types of indemnification agreements: (1) limited or comparative indemnity agreements; (2) intermediate form indemnity agreements; and (3) broad form indemnity agreements.[2] Under limited or comparative indemnity agreements, the indemnitor assumes responsibility for only those risks that stem from its negligence. Thus, if the indemnitor is deemed 40% liable for an injury or accident, it will be compelled to pay only 40% of the loss to the indemnitee. Intermediate form agreements provide a "sliding scale" of options. Most intermediate form agreements obligate the indemnitor to hold the indemnitee harmless for all liability except for the indemnitee's own, sole negligence, although some allow for full indemnification provided there was some negligence on the part of the indemnitor. Broad form indemnification requires that the indemnitor hold the indemnitee harmless for all losses or liabilities, regardless of the source of the negligence. For obvious reasons, this is the most favorable kind of indemnity agreement for the upstream parties, because it requires very little to trigger its application.

[C] State Anti-Indemnity Laws

The outer boundaries of what an indemnitee can and cannot achieve through its agreement may, however, be limited by state law. The majority of states have enacted anti-indemnity statutes which limit indemnification agreements in construction contracts. Though the exact wording of the statutes varies, the overarching basis and rationale for such laws is that it is against public policy for a party to completely transfer risk for its own liability. Construction contracts are singled out for special treatment in the law for two reasons: first, the concern that a party being indemnified for its own negligence will have less incentive to exercise care in the performance of its work, and second, that unequal bargaining power among construction industry players might result in subcontractors accepting overly onerous contractual terms.[3] As such, state legislatures have stepped in to draw boundaries around what the parties can legally agree to transfer.

[2] *See generally* Samir B. Mehta, *Additional Insured Status in Construction Contracts and Moral Hazard*, 3 CONN. INS. L.J. 169, 178–79 (1996); Tracy Alan Saxe, et al., *Walking the Minefield: Navigating Anti-Indemnity Statutes and Maximizing Third-Party Contractual Indemnification for Construction Contracts*, 24 JOHN LINER REV. 35 (2011).

[3] Randy J. Maniloff and Jeffrey W. Stempel, *General Liability Insurance Coverage: Key Issues in Every State* § 13.00 (3d ed. 2015).

New York's anti-indemnity statute, for example, limits the scope of an indemnity agreement to the extent of the indemnitor's own negligence.[4] Other statutes are slightly broader, stating that indemnity provisions are generally valid unless such provisions seek to provide indemnity for the indemnitee's sole negligence.[5] Some states, such as Arizona, California, and Montana, have different statutes for public versus private construction contracts. Other states have laws which extend to both construction and design contracts, like New Hampshire and Texas. Lastly, some states, including Pennsylvania and Maine, have very limited statutes, or even no statutes at all, leaving decisions regarding the enforceability of indemnity provisions to the courts. For a thorough state-by-state review of anti-indemnity laws, see the chart included as **Appendix 8-A**.

An effective way to adopt a uniform approach to indemnification agreements is to incorporate "savings" language into the indemnity provision. Such language appears at the beginning of any indemnification provision and states: "To the fullest extent permitted by law . . ." Many states have held that such savings language prevents an otherwise unenforceable indemnification agreement from being voided, instead conforming the agreement to the contours of the state's anti-indemnity laws.[6]

[D] Interplay Between Indemnity and Insurance

Besides providing a direct contractual remedy to the indemnitee, indemnification provisions have a direct impact on the insurance coverage that may be available to an upstream party in the context of a lawsuit alleging bodily injury. Standard CGL policies exclude coverage for contractual liability, as follows: "This insurance does not apply to: 'Bodily injury' or 'property damage' for which the insured is obligated to pay damages by reason of the assumption of liability in a contract or agreement." The phrase "assumption of liability in a contract or agreement" is undefined.

Though arguably the intent of the exclusion is to remove coverage only where liability is actually assumed by the insured, some courts have read it broadly to encompass any situation where the insured is alleged to have breached its contract.[7] In *Gilbert Texas Construction, L.P. v. Underwriters at Lloyd's London*,[8] for example, the Texas Supreme Court held that the Contractual Liability exclusion bars coverage wherever an insured is alleged to have breached an

[4] *See* N.Y. Gen. Oblig. Law § 5-322.1.

[5] *See, e.g.*, Cal. Civ. Code § 2782.

[6] *See, e.g.*, Brooks v. Judlau Contracting, Inc., 898 N.E.2d 549, 552 (N.Y. 2008); Callahan v. A.J. Welch Equip. Corp., 634 N.E.2d 134, 137 (Mass. Ct. App. 1994); Vecellio & Grogan, Inc. v. Piedmont Drilling & Blasting, Inc., 644 S.E.2d 16, 21 (N.C. Ct. App. 2007); Cox v. Lumbermens Mut. Cas. Co., 439 N.E.2d 126, 130 (Ill. App. Ct. 1982).

[7] *See, e.g.*, George H. Tinker, *Comprehensive General Liability Insurance—Perspective and Overview*, 25 Fed'n Ins. Couns. Q. 217, 265 (1975).

[8] 327 S.W.3d 118 (Tex. 2010).

obligation imposed in a contract, beyond liability imposed by negligence. It is worth noting that the Texas Supreme Court limited the scope of this decision in *Ewing Construction Co. v. Amerisure Insurance Co.*,[9] where it held that "a general contractor who agrees to perform its construction work in a good and workmanlike manner, without more . . . does not 'assume liability for damages arising out of its defective work so as to trigger the Contractual Liability Exclusion.'" However, the court's decision in *Gilbert* is a good example of the broad manner in which courts have interpreted the assumption of liability language within a construction contract.

Critically, the Contractual Liability exclusion also contains an exception which provides coverage for qualifying indemnity provisions:

> This exclusion does not apply to liability for damages:
>
> (2) Assumed in a contract or agreement that is an "insured contract," provided the "bodily injury" or "property damage" occurs subsequent to the execution of the contract or agreement.

This exception was added to the Contractual Liability exclusion by the Insurance Services Office ("ISO") to accommodate certain indemnity agreements. Key to this exception is the definition of "insured contract," which is defined in relevant part as:

> That part of any other contract or agreement pertaining to your business under which you assume the tort liability of another party to pay for "bodily injury" or "property damage" to a third person or organization. Tort liability means a liability that would be imposed by law in the absence of any contract or agreement.

This insured contract exception to the exclusion is intended to provide a carve-back for properly drafted indemnity provisions, allowing the named insured to turn to its insurance carrier for coverage when it finds itself the target of a lawsuit brought by an indemnitee. In light of this, it is important for indemnitors to ensure their policies do not remove this critical definition of "insured contract," from their policies, as such modifications can make it difficult or impossible to access the indemnitor's insurance.

§ 8.03 FIRST-PARTY INSURANCE COVERAGE FOR CONSTRUCTION PROJECTS

[A] Introduction to First-Party Insurance Coverage

Properly insuring a construction project requires a mix of "first-party" and "third-party" insurance policies. In contrast to liability policies, discussed in more detail in Section 8.04 below, first-party insurance policies do not require that a

[9] 420 S.W.3d 30, 38 (Tex. 2014).

claim or suit be brought against the insured in order to trigger coverage. Rather, such policies provide coverage for the insured's own property upon the happening of some fortuitous event. In the construction context, this takes the form of a "builder's risk" insurance policy.

[B] Builder's Risk Insurance

[1] Overview of Builder's Risk Insurance

A significant number of construction project-related insurance disputes arising out of disputes over builder's risk coverage. Many such disputes are the result of inconsistencies between the builder's risk insurance and the risk transfer provisions of construction contracts. In addition, many problems arise when unsophisticated parties purchase inadequate coverage (e.g., insufficient limits, capped or sub-limited coverages for key risks, or failing to procure appropriate policy extensions or add-ons).

Builder's risk insurance provides coverage for damage to a project during construction operations. This insurance is unique because the nature of the risk on the date of the project commencement—an empty plot of land or a derelict building—is different from the risk insured on the date of project completion—a finished or updated structure. The insured property is a work in progress, consisting of three separate components: (1) the part of the project that has been completed, (2) the part that is being worked on, and (3) the part that has not yet been built. Builder's risk insurance covers not just the structure itself, but the on-site building materials and components that are being incorporated into the project.[10]

The most common types of covered builder's risk claims involve the repair or replacement of physically damaged portions of the project and lost or damaged materials and equipment. Some builder's risk policies also cover additional expenses, such as "soft costs" (additional costs associated with project delays), "debris removal" costs, and compensation for the loss of valuable papers and records. One of the most hotly contested issues is the applicability of builder's risk coverage for losses sustained to the "unbuilt" portion of the project which reflect the increased costs of construction to complete the project incurred as a result of physical loss or damage to the project's completed work or work in progress.

[2] Who Is Covered by Builders Risk?

Although Builder's Risk policies are usually procured by a building owner or developer (and, sometimes, by large general contractor or construction

[10] *See generally* Tracy A. Saxe, et al., *Nonphysical Loss to Unbuilt Property*, Construction Risk Management (June 2010 supp.); Village of Kiryas Joel Local Dev. Corp. v. Insurance Co. of N. Am., 996 F.2d 1390, 1392 (2d Cir. 1993); Fireman's Fund v. Structural Sys. Tech., Inc., 426 F. Supp. 2d 1009, 1025 (D. Neb. 2006).

managers), they extend coverage to numerous entities. Any person or entity with an "insurable interest" in the construction project should be covered by the Builder's Risk policy. An "insurable interest" is a legal or financial relationship in the subject of the insurance. An insurable interest can be a product of contract rights, property rights, or potential legal liability.[11] Thus, in addition to the owner or developer, all contractors of any tier as well as project lenders may be included as insureds.

Builder's Risk policies often contain endorsements adding general contractors, subcontractors, or others as insureds "as their interests may appear" (ATIMA). Because general contractors often hire many subcontractors (some unknown to it at the beginning of a project), ATIMA wording purports to extend coverage to those parties that it does business with for the losses directly related to the Project. There are, however, potential issues with the use of the ATIMA language. Subcontractors' insurable interests can be unclear; courts have held that the purpose of the phrase is to "give the subcontractor an interest in the building according to the amount of the subcontractor's work already utilized."[12] Courts have rejected the premise that the clause provides coverage for the subcontractor for all purposes.[13]

The ATIMA language can also be problematic in the subrogation context. For example, in *St. Paul Fire & Marine Ins. Co. v. FD Sprinkler, Inc.*,[14] St. Paul sought to recover monies paid by it in connection with a claim filed by its named insured, Chelsea 27th St. Apartments, arising out of property damaged caused by an unintended discharge of a sprinkler. The subcontractors responsible for the damage, FD Sprinkler and Woodworks, were additional insureds under the subject policy pursuant to an ATIMA endorsement. The court concluded that the anti-subrogation rule, "which provides that an insurer has no right of subrogation against its own insured for a claim arising from the very risk for which the insured was covered," did not apply to the subcontractors to the extent their work damaged other property in which they had no interest.[15] According to the court, "ATIMA thus provided the subcontractors with protection only to the extent of their property interest in the building under construction, to wit, the tools, labor and material furnished or owned by the subcontractor."[16]

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[11] *See* Beckon, Inc. v. Amco Ins. Co., 620 F. Supp. 2d 996 (E.D. Mo. 2009); SR Int'l Bus. Ins. Co. Ltd. v. World Trade Ctr. Props., LLC, 445 F. Supp. 2d 320 (S.D.N.Y. 2006); International Risk Management Group, Inc. Glossary, https://www.irmi.com/term/insurance-definitions/insurable-interest (last visited Nov. 17, 2020).

[12] Turner Constr. Co. v. John B. Kelly Co., 442 F. Supp. 551, 554 (E.D. Pa. 1976).

[13] *Turner Construction*, 442 F. Supp. 551; *see also* Beazley Ins. Co., Inc. v. Eaton Corp., No. 5:16-CV-1255-OLG, 2017 WL 9362564 (W.D. Tex. Nov. 17, 2017); St. Paul Fire & Marine Ins. Co. v. FD Sprinkler, Inc., 76 A.D.3d 931, 932 (N.Y. App. Div. 2010).

[14] 76 A.D.3d 931.

[15] 76 A.D.3d 931.

[16] 76 A.D.3d 931, citing Paul Tishman Co. v. Carney & Del Guidice, 316 N.E.2d 875 (N.Y. 1974).

[3] Builder's Risk Policy Insuring Agreements

[a] Interpretation of "All-Risk" Policy Language

Although the ISO, the leader in drafting standard policy forms, has developed a builder's risk form (CP 00 20), most insurers write builder's risk policies on their own proprietary form. As a result, there is very little consistency across different builders' risk policy forms—each insurer may offer their own terms and conditions.

One area of commonality, however, is the "all-risk" nature of builder's risk insurance policies.[17] A typical builder's risk insuring agreement will provide coverage for "all risks of direct physical loss of or damage to the property insured" while at the location of the Insured Project, while in temporary storage or while in transit. The use of the phrase "all risk of" means that the coverage encompasses: (1) risks that cause physical loss or damage; and (2) all risks resulting from physical loss or damage. Contractors purchase all-risk builder's risk insurance to compensate for loss due to physical damage or destruction caused to the project itself.[18]

Courts have held that such "all-risk" policies "create[] a special type of insurance that extends to all risks not usually contemplated, and recovery under the policy will generally be allowed . . . unless the policy contains a specific provision expressly excluding the loss from coverage."[19] Most jurisdictions which have analyzed the "all-risk" wording have held that such policies cover all fortuitous losses which cause some form of physical alteration to covered property,[20] although there are some courts which go a step further and do not require actual physical or tangible damage to property in order to trigger coverage.[21] To establish coverage under an "all-risk" builder's risk policy, the insured must first show that a loss comes within the insuring agreement's terms; from there, in order to avoid coverage, the insurer must establish that an exclusion applies.[22]

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[17] "Named peril" are significantly less common in the builder's risk insurance space. Such policies insure against losses caused by any specifically listed peril or cause of loss, e.g., fire, windstorm, hailstorm, flood, earthquake, and other specific risks.

[18] *See* Southern Cal. Edison Co. v. Harbor Ins. Co., 83 Cal. App. 3d 747, 148 Cal. Rptr. 106, 111 (1978).

[19] Standard Structural Steel Co. v. Bethlehem Steel Corp., 597 F. Supp. 164, 191 (D. Conn. 1984), quoting C.C. Marvel, *Coverage under "all risks" insurance*, 88 A.L.R.2d 1122 (1963), *superseded by* Jane Massey Draper, *Coverage under all-risk insurance*, 30 A.L.R.5th 170 (1995).

[20] *See, e.g.*, Zurich Am. Ins. Co. v. Keating Bldg. Corp., 513 F. Supp. 2d 55 (D.N.J. 2007).

[21] *See, e.g.*, Wakefern Food Corp. v. Liberty Mut. Fire Ins. Co., 968 A.2d 724 (N.J. App. Div. 2009) (finding that Shop Rite stores suffered physical damage due to loss of electricity, even though no actual damage sustained to power grid); Western Fire Ins. Co. v. First Presbyterian Church, 437 P.2d 52 (Colo. 1968) (gas seeping from underneath church making it unusable was deemed covered); General Mills, Inc. v. Gold Medal Ins. Co., 622 N.W.2d 147 (Minn. 2001) (Use of unapproved pesticide on cereal products, which led to an FDA shutdown, was deemed covered).

[22] *See* Otis Elevator Co. v. Factory Mut. Ins. Co., 353 F. Supp. 2d 274, 279 (D. Conn. 2005), quoting Henning Nelson Constr. Co. v. Fireman's Fund Am. Life Ins. Co., 383 N.W.2d 645, 652 (Minn. 1986); *see also* Federal Ins. Co. v. KDW Restructuring & Liquidation Servs., LLC, 889

[b] Coverage for Increased Costs of Construction

Insurance coverage for the increased costs to complete construction of undamaged work as a result of physical loss or damage on the project is a hotly contested and often litigated issue. The District Court of New Jersey's seminal decision in *Zurich American Insurance Co. v. Keating Building Corp.*,[23] provides a blueprint to policyholders for the categorization of damages in complex construction matters in connection with an all-risk builder's risk policy. The dispute arose out of a serious construction accident at the Tropicana Hotel and Casino in Atlantic City, New Jersey. During construction of a seven-level parking garage, portions of six floors of the structure collapsed. The collapsed section came to rest on top of a three-level retail, dining, and entertainment complex. The accident resulted in the death of four construction workers, the injury of numerous others, and significant property damage and delay losses. The builder sustained over $75 million in damages caused by demolition, debris removal, and delay, and filed a claim against the project's builder's risk insurer, Zurich, seeking coverage for the losses.

The *Keating* court, applying New Jersey law, stated that it "must construe insurance policy provisions that grant coverage broadly, and those that limit coverage narrowly, so as to maximize the insurance available to cover a loss."[24] The court noted that "an all risk policy . . . covers all fortuitous losses that an insured peril proximately causes (unless an exclusion applies)."[25] In so stating, the court held that increased costs to complete construction of *undamaged* property is entitled to coverage as part and parcel of the "all risk of direct physical loss" insuring agreement wording.[26]

The *Keating* case has not been adopted in all jurisdictions.[27] Despite this, it provides a valuable blueprint to both contractors and insurance carriers in valuing builder's risk losses. Insurance policyholders can utilize *Keating* in support of their argument for coverage for increased costs of construction to undamaged property, while insurers should take note and draft appropriate exclusionary language if they intend to bar coverage for increased costs of construction to undamaged portions of the work.

F. Supp. 2d 694, 697 (M.D. Pa. 2012) ("An insurer bears the burden of proving that a contract exclusion or limitation on coverage applies.").

[23] 513 F. Supp. 2d 55 (D.N.J. 2007).

[24] 513 F. Supp. 2d at 68.

[25] 513 F. Supp. 2d at 68–69.

[26] 513 F. Supp. 2d at 68. Notably, in so holding, the court rejected the insurer's argument that the policy's Valuation Clause limited coverage to the repair costs only, and not increased costs to complete construction overall. The court determined that if Zurich had intended to limit coverage only to the damaged property, it should have included that language in the policy.

[27] One Place Condo., LLC v. Travelers Prop. Cas. Co. of Am., No. 11 C 2520, 2015 WL 2226202 (N.D. Ill. Apr. 22, 2015); Annal Mgmt. Co., Ltd. v. Travelers Excess & Surplus Lines Co., No. 19 Civ. 1450 (GBD), 2020 WL 5659508 (S.D.N.Y. Sept. 23, 2020).

[4] Common Builder's Risk Coverage Extensions

Most builder's risk insurance carriers offer an array of additional coverages, known as "coverage extensions," to their policyholders. Certain of these extensions are common in the industry, although specific policy wording will determine the scope of their application. Some insurers may charge additional premium for select coverage extensions and/or may subject the coverage extensions to special deductibles or sublimits.[28]

Common coverage extensions include the following:

- Expediting Expenses, which usually cover the reasonable extra costs to make temporary repairs and to expedite the permanent repair or replacement of the insured project that is damaged by an insured peril. This includes additional wages for overtime, night and holiday work, and extra costs for express transportation.
- Soft Costs, which may include interest expenses; advertising, marketing, or promotional expenses; legal and accounting fees; additional cost of insurance premiums; real estate taxes and assessments; and project administration expenses.
- Necessary and reasonable professional fees payable to: (1) the insured's accountants, inspectors, auditors, or other professionals for the purpose of producing and certifying details in the insured's books or documents; and/or (2) architecture or engineering services and expenses incurred by the insured in connection with the repair or replacement of the insured project.
- Hot testing, Cold testing, and/or Commissioning losses. If something fails during functional testing of various systems, this coverage extension may provide coverage for losses that stem from such failure.

Each coverage extension operates as a separate insuring agreement, although usually they are tied to the overall policy requirement of "all risk of direct physical loss or damage." Thus, the burden is typically on the policyholder to prove the existence of coverage under these extensions.

[5] Common Exclusion: Faulty Workmanship

Once the policyholder has shown that its loss satisfies the builder's risk policy's insuring agreement, the burden shifts to the insurer to prove that an exclusion unambiguously applies if it wishes to avoid providing coverage. One of the

[28] A sublimit is a "limitation in an insurance policy on the amount of coverage available to cover a specific type of loss. A sublimit is part of, rather than in addition to, the limit that would otherwise apply to the loss." IRMI Online Glossary, https://www.irmi.com/term/insurance-definitions/sublimit (last visited Nov. 17, 2020).

most commonly litigated exclusions is the faulty workmanship exclusion, which may appear in many different forms.

Most faulty workmanship exclusions provide an ensuing loss exception that limits the scope of the exclusion to costs directly related to repairing or replacing the faulty work. Where there is an ensuing loss exception, the damage caused by the faulty work would be excluded, but where the faulty work causes resultant damage, the builder's risk policy will cover the resultant damage.

This is one area in which the variation in policy wording can make a significant difference in the scope of the recovery. There are three faulty workmanship exclusions in wide use in the industry which were developed by the London Engineering Group ("LEG") in the 1990s and are, therefore, sometimes referred to as the "LEG" exclusions. The LEG1 exclusion is the most restrictive, i.e., broadest exclusion; it excludes coverage for all loss or damage "due to defects of material workmanship, design plan, or specification," regardless of whether there has been damage to other non-defective property. The LEG2 and LEG3 exclusions use the same exclusionary wording (i.e., no coverage for loss or damage "due to defects of material workmanship, design plan, or specification,"), but each adds back some coverage for insured property damaged by the defect. The carve-back wording in the LEG2 exclusion provides coverage for all resultant damage except for the costs associated with replacement or rectification *if the replacement or rectification had been done before the damage* was sustained. The LEG3 exclusion provides a broader carve-back and limits the exclusion only to the cost "incurred to improve the original workmanship, design plan or specification."

Cases evaluating faulty workmanship exclusions in builder's risk policies are inconsistent at best and highly dependent on the precise policy wording at issue. A handful of courts have held that certain exclusions are ambiguous and susceptible to two meanings revolving around the distinction between a faulty *product* and a faulty *process*. In these cases, the courts typically hold that the exclusionary wording should apply narrowly and should bar coverage for accidental damage caused by subcontractor error that is unrelated to the quality of the subcontractor's product or process.[29] Other courts, interpreting broad exclusions for "loss or damage consisting of, caused by, or resulting from an act, defect, error, or omission (negligent or not) relating to" design, construction, workmanship, etc., have found no coverage for insureds regardless of whether the loss arose from a faulty product or a faulty process.[30]

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[29] *See* Otis Elevator Co. v. Civil Factory Mut. Ins. Co., 353 F. Supp. 2d 274 (D. Conn. 2005) (Minn. law); 1765 First Assocs., LLC v. Continental Cas. Co., 817 F. Supp. 2d 374 (S.D.N.Y. 2011); Barre v. N.H. Ins. Co., 396 A.2d 121 (Vt. 1978).

[30] *See, e.g.*, Viking Constr., Inc. v. 777 Residential, LLC, 210 A.3d 654 (Conn. App. 2019); Golan Mgmt., LLC v. Hartford Ins. Co., No. CIV-11-0036-C, 2012 WL 1564738 (W.D. Okla. May 3, 2012).

[6] Common Condition: Mitigation or "Sue and Labor"

In addition to exclusions, builder's risk policies contain conditions which are binding on the policyholder. Most forms of first-party commercial property insurance, including builder's risk, imposes a duty to mitigate losses upon the insured. The purpose of this condition is to impart an obligation upon the insured to avoid, or at least reduce, impending damage to covered property, and to compensate the insured for the cost of such efforts. These clauses take different forms and have different titles, such as "Sue and Labor" "Preservation and Protection of Property" or "Expense to Reduce Amount of Loss." The insured is required to "take reasonable steps to protect, recover or save the property insured" from peril.

Mitigation provisions benefit both the insurer and the insured. Since the insured will be compensated for the costs associated with mitigating or avoiding damage to the property, they are incentivized to do so which, in turn, potentially reduces the size of the loss the insurer is obligated to pay. Additionally, most policyholders would agree that it is also in their best interest to avoid damage to their property even if the loss would be covered by insurance.

§ 8.04 THIRD-PARTY INSURANCE COVERAGE FOR CONSTRUCTION

[A] Introduction to Third-Party Insurance Coverage

Whereas builder's risk insurance provides coverage directly to the insured for loss sustained to their covered property, liability policies (including CGL, Excess Liability, and Auto Liability, discussed herein) apply only when there is a claim or suit brought against the insured alleging a covered loss. In this way, liability policies function as "litigation insurance," which protect businesses from the costs associated with defending against the myriad liabilities that may arise out of their operations.

[B] Commercial General Liability

[1] The Duty to Defend and the Duty to Indemnify

CGL insurance is the most common form of third-party liability insurance purchased by businesses, including those operating in the construction industry. CGL policies are meant to provide the policyholder "with the broadest possible spectrum of protection and to transfer to the insurer the risk of all liabilities for unintentional and unexpected personal injury or property damage arising out of the conduct of the insured's business."[31]

[31] Rabeh M.A. Soofi, *The Reference Handbook on the Comprehensive General Liability Policy*, Chapter 1, citing London Mkt. Insurers v. Superior Court, 146 Cal. App. 4th 648, 53 Cal. Rptr. 3d 154, 166 (2007).

CGL policies are largely a standardized product, written on a form drafted (and periodically revised) by the ISO (form number CG 00 01). For decades, the standard policy form has provided coverage for "those sums that the insured becomes legally obligated to pay as damages" because of "bodily injury" or "property damage" caused by an "occurrence," or because of "personal and advertising injury," which takes place within the coverage territory during the policy period.[32] Thus, standard CGL coverage applies to the insured's operations nationwide. It is common, however, for construction project participants to purchase CGL policies which are specific to a particular project only, such as wrap-up insurance policies (Owner-Controlled Insurance Programs, or "OCIPs," and Contractor-Controlled Insurance Programs, or "CCIPs").

CGL insurers owe two key duties to their insureds in the event of a covered loss. The first, and most critical duty, is the insurer's duty to defend. In practice, the duty to defend means that the insurer will retain an attorney on the insured's behalf when the insured is made party to a lawsuit or claim. This duty to defend may convert to a duty to reimburse,[33] or the insured may have the right to select their own counsel which the insurer pays in cases of a conflict of interest.[34] The duty to defend, which essentially functions as "litigation insurance,"[35] is typically provided *outside* of the policy's limits of liability, meaning that all costs the insurer expends in defense of its insured will not count toward reducing or exhausting the per occurrence or aggregate limit of liability listed on the policy's Declarations page. Whether an insurer has a duty to defend a given claim is dependent on state law, although generally most jurisdictions recognize that the duty is broadly interpreted and is triggered whenever a claim is alleged against the insured that has the potential to invoke coverage under the policy (including those claims which may appear groundless, fraudulent, or false).[36]

CGL insurers are also obligated to indemnify their insureds from any covered legal liability. Whereas the duty to defend depends on the filing of a suit against the insured, the duty to indemnify is triggered by entry of a final judgment, settlement, or other means of final resolution. "In short, whereas the duty to defend is measured by the allegations of the underlying complaint, the duty to indemnify is measured by the facts as they unfold at trial or are inherent in the settlement agreement."[37]

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[32] Standard form CGL policies also include coverage for "personal and advertising injury" and "medical expenses." This chapter focuses on the most critical coverage part for the construction industry—Coverage Part A, for bodily injury or property damage liability.

[33] *See, e.g.*, Voorhees v. Preferred Mut. Ins. Co., 588 A.2d 417 (N.J. Super. Ct. App. Div. 1991).

[34] *See, e.g.*, Armstrong Cleaners, Inc. v. Erie Ins. Exch., 364 F. Supp. 2d 797 (S.D. Ind. 2005) (discussing conflicts of interest when an insurer assumes defense of a claim for which it has reserved its rights).

[35] Continental Cas. Co. v. Rapid-Am. Corp., 609 N.E.2d 506, 509 (N.Y. 1993).

[36] *See, e.g.*, Hartford Cas. Ins. Co. v. Litchfield Mut. Fire Ins. Co., 876 A.2d 1139 (Conn. 2005).

[37] John Beaudette, Inc. v. Sentry Ins., 94 F. Supp. 2d 77, 100 (D. Mass. 1999).

[2] CGL Policy Form

[a] Coverage A: Bodily Injury and Property Damage Liability Insuring Agreement

[i] Bodily Injury and Property Damage Requirement There are five elements to the CGL policy's standard insuring agreement, which the insured is obligated to prove in order to obtain defense and/or indemnity.[38] First, the insured must prove that there has been "bodily injury" or "property damage." Bodily injury is, somewhat awkwardly, defined as "bodily injury, sickness or disease sustained by a person, including death resulting from any of these at any time." Some insurers offer extensions of this definition to cover emotional distress stemming from physical injury.

"Property damage," which has a more robust and complex definition, means:

> a. Physical injury to tangible property, including all resulting loss of use of that property. All such loss of use shall be deemed to occur at the time of the physical injury that caused it; or
>
> b. Loss of use of tangible property that is not physically injured. All such loss of use shall be deemed to occur at the time of the "occurrence" that caused it.

It is important to note that "property damage" includes not only the physical damage to property but also the loss of use of the property, even where the property at issue has not sustained physical damage itself.[39]

[ii] Policy Period Requirement and Trigger Theory The second requirement of the CGL policy's insuring agreement is that the "bodily injury" or "property damage" must occur during the policy period. Thus, it is the timing of the injury or damage that determines which policy (or policies) must respond to a loss.[40] Sometimes it is easy to isolate when an accident occurred.[41] Consider, for example, a bodily injury claim in which a worker is injured in a fall; in this scenario,

[38] It is well established that the insured has the burden of proof when it comes to satisfying the insuring agreement. *See, e.g.*, Gilbert Tex. Constr. LP v. Underwriters at Lloyd's London, 327 S.W.3d 118 (Tex. 2010); Atlantic Cas. Ins. Co. v. Value Waterproofing, 918 F. Supp. 2d (S.D.N.Y. 2013).

[39] *See, e.g.*, Big-D Constr. Corp. v. Take it for Granite Too, 917 F. Supp. 2d 1096 (D. Nev. 2013) (holding that loss of use of building's front entrance, which resulted from falling stone tile from exterior of building, was entitled to coverage); *see also* Capstone Bldg. Corp. v. American Motorists Ins. Co., 67 A.3d 961 (Conn. 2013).

[40] Lee H. Shidlofsky, Latest Developments in CGL Coverage for Construction Defects, Construction Law Seminar (Sept. 2012).

[41] *See* Randy J. Maniloff and Jeffrey W. Stempel, Trigger-of-Coverage for Latent Injury and Damage Claims, *General Liability Insurance Coverage: Key Issues in Every State* 415 (2d ed. 2012).

it is immediately apparent when the injury occurred and, therefore, which policy year applies to the loss. Some property damage losses may also be easily allocated to a given policy period, for example, in the case of a fire which damages a property.

An issue arises where the timing of the injury or damage is not as clear, particularly in situations where the damage is slowly building or continuous in nature.[42] In the construction defect context, the cause or result of defective construction can be unclear for a lengthy period of time. In these types of claims, trigger of coverage becomes a critical consideration for purposes of accessing insurance coverage. Courts have nationally developed four trigger theories to address which policy (or policies) in a series of potentially applicable policies responds to a loss: (1) exposure, (2) injury-in-fact, (3) manifestation, and (4) continuous.

The exposure theory provides that coverage is triggered at the point of first exposure to the harmful conditions that eventually give rise to the damage.[43] The exposure trigger theory is most often applied in the bodily injury context, especially in asbestos cases, under the view that the damage occurs at first exposure (i.e., when the person inhales asbestos and suffers injury due to that initial exposure).[44] Under this theory, any policies in effect at the time of initial exposure will be implicated. The exposure trigger does not necessarily limit coverage to one policy year; instead, the number of years and policies implicated will depend upon the length of the exposure period.[45]

The manifestation theory, in contrast, limits coverage to a single policy year because it affords coverage "when the property damage or actual damage [or bodily injury] is discovered, becomes known to the insured or a third party, or should have reasonably been discovered."[46] Courts applying the manifestation theory to construction defect claims hold that coverage attaches when the damage becomes evident. One Florida federal court applied manifestation theory to a claim arising out of Chinese drywall. There, the toxic drywall released gases and fumes that resulted in property damage in the form of corrosion of outlet boxes, wiring, and fixtures over a five-year period. The court refused to find coverage under all five policy years, instead holding that the time of the occurrence was "the time at which the [damage] first manifest[ed] itself."[47]

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[42] *Maniloff and Stempel*, Trigger-of-Coverage for Latent Injury and Damage Claims.

[43] 1-16 General Liability Insurance Coverage § 16.00, quoting Cole v. Celotex Corp., 599 So. 2d 1058, 1076 (La. 1992).

[44] *See* Guaranty Nat'l Ins. Co. v. Azrock Indus., Inc., 211 F.3d 239, 243–48 (5th Cir. 2000) (discussing various trigger theories and concluding that different trigger theories would apply to property damage and bodily injury); American Emp'r's Ins. Co. v. Pinkard Constr. Co., 806 P.2d 954 (Colo. Ct. App. 1990) (in which the court seemingly applies an exposure trigger in the property damage context).

[45] *See* Insurance Co. of N. Am. v. Forty-Eight Insulations, 633 F.2d 1212, 1224–25 (6th Cir. 1980).

[46] 1-16 General Liability Insurance Coverage § 16.00, quoting EnergyNorth Nat. Gas, Inc. v. Certain Underwriters at Lloyd's, 848 A.2d 715, 718 (N.H. 2004).

[47] Amerisure Ins. Co. v. Albanese Popkin the Oaks Dev. Grp., No. 09-81213-CIV-MARRA, 2010 U.S. Dist. LEXIS 125918 (S.D. Fla. Nov. 30, 2010); *see also* Jackson v. State Farm Fire &

Although the manifestation theory is easy to apply, courts do not widely follow it, as it tends not to follow the policy language. Standard form CGL policies require that damage or injury "occur" within the policy period; there is nothing in the policy language requiring "that the claimed property damage be discovered or manifested during the policy period."[48]

Some courts apply the injury-in-fact theory to attempt to scientifically match the policy to the time period when the damage actually occurred. Courts applying this theory find it to be the "truest to the policy language," in that the "occurrence" and "injury-in-fact" are tantamount.[49] Under this theory, only those policies in effect at the time of the injury are implicated. Although the injury-in-fact theory is widely used, some courts find that the theory holds a policyholder to an unfairly stringent standard. It may be impossible or, at the very least, impractical for the policyholder to show injury actually occurring during the relevant policy periods.[50] In effect, application of this theory often limits the number of potentially applicable policy periods and, thus, the amount of coverage available for a claim.

Finally, the continuous trigger theory, first adopted in *Keene Corp. v. Insurance of North America*,[51] is the theory that ultimately affords the broadest coverage for construction defect claims. There, the court applied the continuous trigger theory, starting that "[r]egardless of whether exposure . . . causes an immediate and discrete injury, the fact that it is part of an injurious process is enough for it constitute 'injury' under the policies."[52] Under this interpretation, the insured will be entitled to coverage under each policy that was in place, from the time of first exposure through any latent or dormant period, to the time of that the injury actually manifested.

Though application of the continuous trigger theory can be beneficial to policyholders seeking coverage for long-tail claims, some courts have criticized this theory for extending the injury beyond the "accident" or "occurrence"

Cas. Co., 108 Nev. 504 (Nev. 1992) (holding that first-party progressive property loss triggers coverage at the "point in time when appreciable damage occurs and is or should be known to the insured, such that a reasonable insured would be aware that his notification duty under the policy has been triggered.").

[48] *See* Montrose Chem. Corp. v. Admiral Ins. Co., 10 Cal. 4th 645, 664, 42 Cal. Rptr. 2d 324 (1995), citing Trizec Prop. v. Biltmore Constr. Co., 767 F.2d 810, 813 (11th Cir. 1985) (stating that "there is no requirement that . . . damages 'manifest' themselves under the policy," only that an "occurrence" happens during the policy period); KAAPA Ethanol, LLC v. Affiliated FM Ins., No. 7:05CV5010, 2008 U.S. Dist. LEXIS 61515 (D. Neb. July 29, 2008).

[49] *Id.*, citing Gelman Scis., Inc. v. Fidelity & Cas. Co. of N.Y., 572 N.W.2d 617, 623 (Mich. 1998), *overruled on other grounds by* Wilkie v. Auto-Owners Ins. Co., 664 N.W.2d 776, 786 (Mich. 2003) ("[A]ccording to the policies' explicit terms, actual injury must occur during the time the policy is in effect in order to be indemnifiable, i.e., the policies dictate an injury-in-fact approach.").

[50] *See, e.g.*, Essex Ins. Co. v. Massey Land & Timber, LLC, No. 5:04-cv-102(DCB)(JCS), 2006 U.S. Dist. LEXIS 36748 (S.D. Miss. May 22, 2006).

[51] 667 F.2d 1034, 1041 (D.C. Cir. 1981).

[52] 667 F.2d at 1046.

required under the CGL policy.[53] Courts that oppose the use of continuous trigger often opt instead for application of the injury-in-fact method, which recognizes when the actual injury occurred, i.e., the timing of the "occurrence," as required under the policy. However, even those courts which critique continuous trigger theory have found its application useful in limited contexts, such as when "injury-in-fact occurs continuously over a period covered by different insurers or policies, and actual apportionment of the injury is difficult or impossible to determine."[54] Thus, even courts who almost uniformly apply one trigger theory may support application of another based on exigent factual circumstances.

[iii] Caused by an "Occurrence" The third element of the CGL policy insuring agreement, which the insured must prove in order to trigger coverage, is that the "bodily injury" or "property damage" must be caused by an "occurrence." The standard definition of an "occurrence" is an "accident, including continuous or repeated exposure to substantially the same general harmful conditions."

Whether or not defective or faulty workmanship is an "occurrence" is an oft-litigated issue and cause for serious concern among contractors and owners for both commercial and residential construction. Courts throughout the country are split when it comes to this issue, although there has been a significant shift over the past decade among the states which previously found the answer was "no" toward reconsidering their position. Case law falls into one of the following three categories:

1. Defective/faulty workmanship is an "occurrence," provided the contractor did not subjectively intend to cause the damage;
2. Defective/faulty workmanship is an "occurrence," provided other work is damaged as a result; or
3. Defective/faulty workmanship is never an "occurrence" because it is a business risk assumed by the contractors.

A majority of jurisdictions fall within the first two categories finding that defective or faulty workmanship is an "occurrence."[55] In the minority of states, defective or faulty workmanship is not an "occurrence," therefore, even if there is

[53] See Travelers Cas. v. Netherlands Ins. Co., No. CV094045937S, 2012 Conn. Super. LEXIS 1460, at *20 (Super. Ct. June 1, 2012).

[54] Sentinel Ins. Co. v. First Ins. Co. of Haw., 875 P.2d 894, 917 (Haw. 1994).

[55] *See* U.S. Fire Ins. Co. v. J.S.U.B., Inc., 979 So. 2d 871 (Fla. 2007); George A. Fuller Co. v. U.S. Fid. & Guar. Co., 613 N.Y.S.2d 152 (N.Y. App. Div. 1994); American Empire Surplus Lines Ins. Co. v. Hathaway Dev. Co., Inc., 707 S.E.2d 369 (Ga. 2011); Anthem Elecs., Inc. v. Pacific Employers Ins. Co., 302 F.3d 1049 (9th Cir. 2002); Lamar Homes, Inc. v. Mid-Continent Cas. Co., 242 S.W.3d 1 (Tex. 2007).

resulting damage to other work there is no coverage under the policy.[56] For further detail on how each jurisdiction analyzes this critical issue, see **Appendix 8-B**, which contains a state-by-state survey of national case law.

[iv] Coverage Territory The fourth requirement in the CGL policy's insuring agreement is that the "occurrence" must take place within the coverage territory. This aspect of the insuring agreement is largely non-controversial. Standard form CGL policies define the coverage territory as the United States, including territories and possessions, Puerto Rico, Canada, and international waters or airspace. This definition may be expanded (or restricted) depending on the circumstances.

[v] Legal Obligation to Pay and Suit Requirement Fifth, the insured must "become[] legally obligated to pay as damages" the amounts claimed. The coverage grant is for damages which are sought against the insured in a "suit." The definition of "suit" includes not only a lawsuit in the traditional sense, but also any civil proceeding, including arbitration proceedings and other alternative dispute resolution proceedings. Some jurisdictions have expanded the meaning of the term to also include disputes under certain statutory frameworks.[57]

[vi] No Prior Knowledge Sixth, the insured must not have been aware of the occurrence of the "bodily injury" or "property damage" prior to the policy period. This concept is commonly referred to as the "known loss doctrine," which insurers may use as a defense to covering losses that otherwise would be entitled to coverage.[58]

[b] Exclusions

Once the policyholder has carried its burden of proving that the insuring agreement has been triggered, the burden shifts to the insurer to prove an exclusion unambiguously applies to the claim.[59] Standard CGL policies contain 17 exclusions, although there are several additional exclusions frequently added by endorsement. The most commonly invoked in the construction setting are the so-called

[56] *See* Martin/Elias Props., LLC v. Acuity, 544 S.W.3d 639 (Ky. 2018); Ohio N. Univ. v. Charles Constr. Servs., Inc., 120 N.E.3d 762 (Ohio 2018).

[57] *See* Altman Contrs., Inc. v. Crum & Forster Specialty Ins. Co., 832 F.3d 1318 (8th Cir. 2016) (finding that Florida's Right to Repair Act is an alternative dispute resolution proceeding which triggers the insurer's obligation to defend).

[58] *See* Travelers Cas. & Surety Co. v. Dormitory Auth., 732 F. Supp. 2d 347 (S.D.N.Y. 2010).

[59] *See, e.g.*, McMillin v. American Safety Indem., 233 Cal. App. 4th 518, 183 Cal. Rptr. 3d 26 (2015); Consolidated Edison Co. of N.Y. v. Allstate Ins. Co., 774 N.E.2d 687 (N.Y. 2002).

"Business Risk exclusions," which are intended to exclude coverage for risks that are the "normal, frequent, or predicable consequences of doing business, and which business management can and should control and manage."[60] These exclusions, which are discussed in more detail below, are tools to allocate risk between the insured and insurer as it relates to damages arising out of the insured's business.

[i] Exclusion J.—Damage to Property Exclusions Perhaps the most significant (and highly litigated) of the business risk exclusions in the construction context are exclusions j(5) and j(6). Exclusion j(5) bars coverage for property damage to "[t]hat particular part of real property on which [the insured] or any contractors or subcontractors working directly or indirectly on [the insured's] behalf are performing operations, if the 'property damage' arises out of those operations." Use of the present tense "are performing operations" makes clear that the exclusion "only applies to property damage that occurred during the performance of construction operations,"[61] and not after construction has been completed.

Since the terms "that particular part of real property" and "operations" are not otherwise defined in the standard form CGL policy, exclusion j(5) presents some ambiguity and has been subject to varying interpretations. Some courts interpret "that particular part" literally, finding that it only applies to the *specific* part of the property that the contractor is working on. Under this framework, coverage is excluded only for damage to the contractor's work, and not for damage to real property that is not part of the contractor's scope. Thus, the exclusion bars coverage for damage to the particular part of real property on which the insured is performing operations, "not on which the insured did perform operations, will perform operations, or has contracted to perform operations. The exclusion applies to the 'property on which the insured is performing operations,' not to the area in which the insured is performing operations."[62]

For example, if a contractor is working on water pipes in a building, and the pipes break while the workers are rushing to finish the project and the whole building floods, the resultant damage to the building should be entitled to coverage (provided, of course, the state recognizes that such faulty workmanship satisfies the policy's "occurrence" requirement). This application "effectuates the exclusion's purpose of denying coverage for business risks, but also allows coverage for any accidental, consequential damage to other's property, which is not considered a business risk."[63]

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[60] James T. Hendrick and James P. Wiezel, *The New Commercial General Liability Forms—An Introduction and Critique*, FICC QUARTERLY 319, 322 (Summer 1986).

[61] *See* Mid-Continent Cas. Co. v. JHP Dev., Inc., 557 F.3d 207, 213 (5th Cir. 2009).

[62] *See* Columbia Mut. Ins. Co. v. Schauf, 967 S.W.2d 74, 81 (Mo. 1998).

[63] *Columbia*, 967 S.W.2d at 81.

In one illustrative Minnesota case, *Thommes v. Milwaukee Insurance Co.*,[64] the insured was hired to clear a piece of property for a development project. As a result of some confusion, the insured's employees accidentally cleared an adjacent property. The insurer disclaimed coverage under exclusion j(5) based on its interpretation that the exclusion applied to any real property on which the insured performs operations, including that of third parties. The insured argued that the exclusion should be interpreted so as to only apply to the real property it was supposed to have performed operations under the contract. Finding that the terms "that particular part of real property" and "operations" were not defined in the policy, the Minnesota Supreme Court found that the exclusion was ambiguous, and interpreted it in favor of the insured.

Exclusion j(6) utilizes similar language to bar coverage for property damage "to that particular part of any property that must be restored, repaired or replaced because 'your work' was incorrectly performed on it." As with exclusion j(5), the intent of the exclusion is to bar coverage only for the "specific property that must be fixed because faulty work was incorrectly performed on it. Exclusion j(6) does not exclude coverage for property damage for non-defective property that results from faulty workmanship."[65] Notably, the exclusionary wording goes on to provide that paragraph (6) "does not apply to 'property damage' included in the 'products-completed operations hazard.'"

The "products-completed operations hazard" is a defined term which encompasses work that has been put to its intended use, i.e., completed. When exclusion j(6) is read together with the "products-completed operations hazards" definition, the exclusion does not apply to claims arising from defective work that is discovered after the contractor has completed its work. Rather, exclusion j(6) excludes damage that occurs during operations as well as some damages that occur once it is completed.

To illustrate, assume that a contractor is building a home. The contractor first erects the walls and completes the roof and then begins finishing the interior. The roof was poorly installed and later leaks, thereby damaging partially completed floors. The damage to the floors (which was a consequence of the faulty workmanship that occurred after the work was complete) would be covered, but replacement of the poorly constructed roof (which was a direct result of faulty workmanship that occurred while the work was ongoing) would be excluded.

[ii] Exclusion K.—Damage to Your Product By definition, exclusion k for damage to "your product" does not apply to real property. Generally speaking, the purpose of the exclusion is to preclude coverage for damage caused by goods or products which are manufactured, distributed, sold, etc., by the named

[64] 641 N.W.2d 877 (Minn. 2002).

[65] Sunwestern Contractors Inc. v. Cincinnati Indem. Co., No. CV-16-00649-TUC-CKJ, 2019 WL 2137312 (D. Ariz. May 16, 2019).

insured. Thus, the "your product" exclusion applies to construction claims only where a particular component part of a project is deemed a "product" under the policy definition, and not where it has already become a part of the real property (or caused resultant damage thereto).[66]

[iii] Exclusion L.—Damage to Your Work Exclusion l, known as the "your work" exclusion, excludes coverage for damage to the insured's work arising after a construction project is finished. There is a built-in exception to the exclusion for damage to work performed on the named insured's behalf by a subcontractor. "When a general contractor becomes liable for damage to work performed by a subcontractor—or for the damage to the general contractor's own work arising out of a subcontractor's work—the subcontractor exception preserves coverage that the 'your work' exclusion would otherwise negate."[67] The majority of courts interpret the exception as providing coverage for damages to the insured's own work that arise out of the work of a subcontractor. Importantly, however, this critical carve-back of coverage may not operate to the insured's benefit in states where faulty workmanship is not deemed an "occurrence" in the first place.

[iv] Exclusion M.—Damage to Impaired Property or Property Not Physically Injured Exclusion m is intended to prevent the insured from obtaining coverage for economic losses resulting from the insured's work product. The exclusion applies to property not physically injured or to "impaired property." Impaired property is defined as tangible property other than "your product" or "your work" which cannot be used, or is less useful, because of the incorporation of defective or inadequate products or work. Critically, however, the exclusion applies only where "such property can be restored to use by the repair, replacement, adjustment or removal" of the product or work. In light of this, the scope of exclusion m is actually quite narrow: it applies only if the property *would* function appropriately when the defective work or product was removed and replaced with an adequate piece of work or product.[68] If there is any physical injury to the property, however, by its terms the impaired property exclusion does not apply.

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[66] *See* Wanzek Constr., Inc. v. Employers Ins. of Wausau, 679 N.W.2d 322 (Minn. 2004).

[67] K&L Homes, Inc. v. American Family Mut. Ins. Co., 829 N.W.2d 724 (N.D. 2013) (Crothers, J., concurring), quoting Stephen N. Goldberg & James S. Carter Jr., Liability Insurance for Construction Defects in 3 *New Appleman Law of Liability Insurance* § 28.04[10] [a]–[b] (Matthew Bender 2d ed. 2012).

[68] In a fabulously simple illustration, one commentator explained that the intent of exclusion m is as follows: "My stuff doesn't work because your stuff, which I incorporated as a component part of my stuff, doesn't work. If your stuff worked, then my stuff would work. If you replaced your stuff, my stuff would work just fine. So I am suing you because I have lost money as my stuff doesn't work—but the only reason my stuff doesn't work is because your stuff is junk." Craig Stanovich, *The Impaired Property Exclusion*, Expert Commentary—IRMI Online (April 2020).

To illustrate, assume that a fire suppression contractor installed a sprinkler system for the owner of a new office building that was not up to code. The contractor would have no coverage for the cost of replacing and removing the sprinkler system because, under this scenario, there was no tangible property damage—the only problem was that the system was inadequate to pass inspection. The installation of the outdated sprinkler system caused the office building to become impaired property since the building cannot be used until the sprinkler system is replaced.

Now, assume that the sprinkler system was installed according to code but that the contractor used defective piping in its work. After the job is completed, some piping cracks and causes water loss throughout the building. In this scenario, the loss arose from sudden and accidental physical injury, which would bring back coverage for the contractor's liability to the owner for loss of use.

[c] Additional Insured Coverage

The standard, unmodified CGL policy provides coverage to the named insured and, through the language of Section II—Who Is An Insured, certain other entities or individuals depending on the identity of the named insured (e.g., a partnership, an LLC, a trust, etc.). Over time, the insurance industry has developed a myriad of endorsement forms designed to grant "additional insured" status to other entities or individuals who are *not* named insureds—in other words, entities who were not involved in procuring the policy or in paying the premiums, but who the named insured is obligated, by contract, to provide protection to under the policy.

Being added to a policy as an additional insured is the most important risk transfer mechanism, aside from indemnification, utilized in the construction industry. Additional insured status and contractual indemnification provide similar protections for the upstream party; however, additional insured coverage provides greater certainty to the upstream party that the indemnification obligations will be fulfilled. As an additional insured, an upstream party (e.g., an owner or general contractor) will be entitled to defense and indemnification from the downstream party's insurer in the event of a loss occasioned by the downstream party's work or operations. The benefit to the upstream party is that such losses do not impact their own insurance, thereby minimizing their loss history which, in turn, affects premiums.

The evolution of additional insured coverage started with the addition of the additional insured endorsement in 1985, CG 20 10 11 85. The coverage under this endorsement was provided to the additional insured for "liability arising out of 'your work' for that insured by or for you." This endorsement provided coverage to the additional insured for claims where the named insured was wholly, partially, or *not at all* at fault for the loss and, moreover, provided the additional insured with coverage when it was *solely* at fault for the loss as long as the loss arose out of the named insured's work. This endorsement applied to losses occurring during construction (i.e., "ongoing operations") as well as following project completion ("completed operations").

In October 2001, ISO issued an updated CG 20 10 endorsement which provided coverage for the additional insured only during ongoing operations period. This left a gap in coverage for the exposure during the products-completed operations hazard. Consequently, ISO also issued the CG 20 37 for the first time, which provides coverage to the additional insured during the products-completed operations hazard period.

ISO updated the CG 20 10 and CG 20 37 in July 2007 replacing the broad "arising out of" trigger language with a new trigger: "caused in whole or in part by." Through this update, the endorsements no longer provide coverage for losses caused by the sole negligence of the additional insured. ISO updated the CG 20 10 and CG 20 37 again in April 2013 including the requirement that the coverage provided to the additional insured be no broader than the insurance coverage and limits required by the contract affording such additional insured. The following chart summarizes the differences between key editions of the standard additional insured forms most widely used in the construction context.

Form Type	Edition/Year			
	11 85 Form	**10 01 Form**	**07 04 Form**	**04 13 Form**
CG 20 10 Owner, Lessees or Contractors	• Covers liability "arising out of" the named insured's work. • Ongoing operations and completed operations covered.	• Covers liability "arising out of" the named insured's work. • Ongoing operations coverage only.	• Covers liability "caused in whole or in part by" the named insured's acts or omissions, or the acts or omissions of those acting on its behalf. • Ongoing operations coverage only.	Same as 07 04 edition, but adds the following: • "Only to the extent permitted by law" language added. • Not broader than that required by contract or agreement. • Limits as required by contract.
CG 20 37 Owners, Lessees, or Contractors	N/A (form did not exist)	• Covers liability "arising out of" the named insured's work. • Completed operations coverage only.	• Covers liability "caused in whole or in part by" the named insured's acts or omissions, or the acts or omissions of those acting on its behalf. • Completed operations coverage only.	Same as 07 04 edition, but adds the following: • "Only to the extent permitted by law" language added. • Not broader than that required by contract or agreement. • Limits as required by contract.
CG 20 33 Owners, Lessees, or Contractors—Automatic Status When Required in	N/A (form did not exist)	• Covers liability "arising out of" the named insured's work. • Ongoing operations only.	• Covers liability "caused in whole or in part by" the named insured's acts or omissions, or the acts or omissions of those acting on its behalf. • Ongoing operations only.	Same as 07 04 edition, but adds the following: • "Only to the extent permitted by law" language added. • Not broader than that required by contract or agreement.

(continues)

Form Type	Edition/Year			
	11 85 Form	**10 01 Form**	**07 04 Form**	**04 13 Form**
Construction Agreement with You		• Includes any person or organization for whom the named insured is performing operations when the named insured and the additional insured have agreed in writing in a contract that such person be added as an additional insured (i.e., contractual privity requirement).	• Includes any person or organization for whom the named insured is performing operations when the named insured and the additional insured have agreed in writing in a contract that such person be added as an additional insured (i.e., contractual privity requirement).	• Limits as required by contract.
CG 20 38 Owners, Lessees, or Contractors—Automatic Status for Other Parties When Required in Written Construction Agreement	N/A (form did not exist)	N/A (form did not exist)	N/A (form did not exist)	• Covers liability "caused in whole or in part by" the named insured's acts or omissions, or the acts or omissions of those acting on its behalf. • Ongoing operations only. • Includes any person or organization for whom the named insured is performing operations when the named insured and the additional insured have agreed in writing in a contract that such person be added as an additional insured. • Any other person or organization required by contract.

Additional insured endorsements come in two varieties: those that confer "automatic" status, and those that must be scheduled. Forms CG 20 33 and CG 20 38 are examples of automatic-status forms—in other words, the form applies to the category(ies) of persons or organizations captured by the language. Other forms, including the CG 20 10 and CG 30 27, include a fillable Schedule where underwriters may insert the specific names of the requested additional insureds. In practice, insurers will often write blanket language into the schedule, effectively converting a scheduled endorsement into an automatic endorsement.

A major issue with automatic additional insured endorsements is whether they extend coverage to all of the entities required by the written construction contract as anticipated. A well-established principle governing insurance contract interpretation is that the terms of the contract must be afforded their plain and ordinary meaning. As a result, insureds and insurers are bound only by the terms of their contract, i.e., the policy. Because of these principles, even when a downstream party (e.g., a subcontractor) agrees to procure additional insured coverage for an entity in a construction contract, or adds an entity on the Certificate of Insurance, coverage has not been procured unless the terms of the policy explicitly grant it.[69] Moreover, even when a subcontractor has procured additional insured coverage, there is a possibility that coverage is limited by an endorsement (and/or scheduled language) to entities that are in direct contractual privity with the named insured.

Some courts—notably, those in New York—have consistently interpreted certain additional insured endorsements as requiring direct contractual privity between the named insured and the purported additional insured in order for coverage to attach. The CG 20 33, detailed above, is an example of an endorsement which has been interpreted as requiring direct contractual privity due to the language "when you and such person or organization have agreed." In the case of *Brooklyn Hospital Center v. One Beacon Insurance*,[70] a subcontractor entered into a contract with the construction manager of a project. The contract required that the subcontractor add both the construction manager and the owner of the project as additional insureds under their general liability policies. The subcontractor's policy contained the CG 20 33 additional insured endorsement. The court, focusing purely on the language of the endorsement, held that it only required the insurer to defend and indemnify the construction manager who was in direct contractual privity with the additional insured, but not the owner of the project, as the owner did not have a direct contract with the subcontractor.

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[69] Gilbane Bldg. Co./TDX Constr. Corp. v. St. Paul Fire & Marine Ins. Co., 143 A.D.3d 146, 151 (N.Y. App. Div. 2016) (stating that coverage is not controlled by the terms of the trade contract); Brooklyn Hosp. Ctr. v. One Beacon Ins., No. 104978/02, 2004 WL 2913774, at *10 (N.Y. Sup. Ct. Dec. 14, 2004) (explaining that a certificate of insurance listing the owner as an additional insured was irrelevant because these certificates are only issued as a matter of information and cannot alter the coverage set forth in the policy).

[70] No. 104978/02, 2004 WL 2913774 (N.Y. Sup. Ct. Dec. 14, 2004).

On several occasions, New York courts have reaffirmed that CG 20 33 and other endorsements utilizing substantially similar or identical language require direct contractual privity.[71]

[d] Waivers of Subrogation

Another important concept in construction industry risk transfer is subrogation. Subrogation is the "assignment to an insurer . . . after payment of a loss, of the rights of the insured to recover the amount of the loss from one legally liable for it."[72] In more common parlance, subrogation allows the insurer to "step into the shoes" of the insured and pursue the insured's rights against an at-fault third-party after the insurer has paid a claim for the insured.

The standard form CGL policy form includes language by which the insured automatically transfers its rights of recovery to the insurer for any portion for claim in which the insured may recover for all or any part of the payment made to the insured. Most construction contracts, conversely, require that the parties "waive subrogation" against each other—in other words, if the insurer covers a claim, the parties want the buck to stop there, and do not want the insurer pursuing reimbursement from other entities involved in the project. The downstream party must ensure that an endorsement (typically, the CG 24 04) is added to their policy to effectuate this result.

[C] Excess and Umbrella Insurance

[1] Overview of Excess and Umbrella Insurance

Excess insurance coverage is an equally important part of a contractor's insurance portfolio, especially in larger markets. Increasingly, owners and upstream parties require higher coverage limits from downstream parties to ensure that all parties are adequately protected for large or multiple loss scenarios. Since primary layer general liability policies are rarely issued with limits greater than $2 million per occurrence and $4 million aggregate, excess layer policies are often necessary to meet contractual limits requirements.

Excess policies are often conflated with umbrella policies. While umbrella policies may provide excess coverage, they typically also include additional

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[71] *See, e.g.*, AB Green Gansevoort, LLC v. Peter Scalamandre & Sons, Inc., 102 A.D.3d 425, 427 (N.Y. App. Div. 2013); CNY Builders, LLC v. Fireman's Fund Ins. Co., 2012 WL 6090103, at *1 (N.Y. Sup. Nov. 26, 2012); 200 Fifth Ave. Owner, LLC v. New Hampshire Ins. Co., No. 104141/2011, 2012 N.Y. Misc. LEXIS 2731, at *12 (N.Y. Sup. June 5, 2012); Skanska USA Bldg., Inc. v. Burlington Ins. Co., No. 112575/2007, 2010 N.Y. Misc. LEXIS 3445, at *7 (N.Y. Sup. July 15, 2010); Macklowe Org. v. K.G. Mech., Inc., No. 104429/07, 2008 N.Y. Misc. LEXIS 10569, at *2 (N.Y. Sup. Oct. 20, 2008).

[72] International Risk Management Group, Inc. Glossary, https://www.irmi.com/term/insurance-definitions/subrogation (last visited Nov. 29, 2020).

coverages which are not a part of the primary layer. Excess policies, on the other hand, are pure follow form policies, meaning that coverage is subject to the same terms and conditions of the primary policy except where the excess policy differs. Another unique feature of excess policies is that the insurance carriers have no duties until the primary policy's limits are exhausted. Though the terms of an excess policy may require that the insured keep the carrier informed and engaged during the defense of the underlying action, the excess carrier has no affirmative obligations until the primary carrier has fully exhausted its limits through payment of indemnity. Conversely, there are some situations where an umbrella insurer may "drop down" and provide primary coverage for a loss.

[2] Follow Form Coverage Under Excess Policies

[a] Follow Form Coverage Generally

Many excess insurance policies include what is commonly referred to as "follow form" language. In other words, the excess policy will follow the form of the first underlying insurance. However, follow form coverage is deeply misunderstood throughout the insured industry—in actuality, excess policies only follow form where the terms and conditions of the excess policy are not in conflict with the underlying policy.

Take, for example, the language of the CX 00 01 09 08 form: "This insurance provided under this Coverage Part will follow the same provisions, exclusions, and limitations that are contained in the applicable 'controlling underlying insurance,' *unless otherwise directed by this insurance. To the extent such provisions differ or conflict, the provisions of this Coverage Part will apply*." Said another way, the excess policy will follow the terms of the underlying primary policy *except* where the terms of the two policies are in conflict. As such, "follow form" coverage is not a panacea for all construction risk transfer goals, as discussed in more detail below.

[b] Insured Status Under Follow Form Excess Policies

With respect to insured status, most excess policy forms do in fact include all additional insured entities that appear on the primary general liability policy as insureds. Excess policies do not typically contain individual additional insured endorsements, but rather define "insured" or "you" in a manner which encompasses all qualifying parties on the primary layer. For example, the CX 00 01 09 08 form states the following: "The word 'insured' means any person or organization qualifying as such under the 'controlling underlying insurance.'" Under this definition, so long as the proper additional insured entities are added on the primary policy, such additional insured status will extend to the excess policy as well.

Of course, the policy form should always be reviewed carefully to ensure that all required additional insured entities are covered by the excess policy. Some excess insurers in more difficult markets may attempt to limit additional insured status on their policy through the use of manuscript endorsements containing more strict triggers (e.g., negligence versus "caused in whole or in part by") or through privity wording which did not otherwise appear on the primary policy.

[c] Waiver of Subrogation Under Follow Form Excess Policies

As discussed above in Section 8.04[B][2][d], most construction contracts require that downstream parties include a waiver of subrogation on their insurance policies, in order to bar the insurer from seeking reimbursement from a culpable upstream party. Though a primary policy may have proper waiver of subrogation and primary and non-contributory endorsements, this does not guarantee that the excess policy will act in the same manner, *even if* the policy is "follow form." This is so because many excess policy coverage forms explicitly retain the right of subrogation. Since this term conflicts with the primary policy, the terms of the excess policy govern. In such a case, an upstream party's risk transfer goals may be defeated where a loss exceeds the primary layer's limits.

Two common policy forms, the CX 00 01 09 08 and the CU 00 01 12 07 are illustrative. The CX 00 01 09 08 policy form is frequently used by a number of different insurance carriers. The form is short; only five pages in length. Notably, the form states nothing about the insured's transfer of rights and duties in the case of the loss. This provision, typically located in the policy's Conditions section, provides that any rights the insured may have to recover all or part of a payment made under the insurance coverage are transferred to the insurer. However, since this language is not included within this particular coverage form, the excess policy will follow form to the terms and conditions of the primary policy. So long as there is a waiver of subrogation on the primary, so too will that be the case for the excess.

The CU 00 01 form, on the other hand, *does* include transfer of rights and duties language. The CU 00 01 form is also used frequently by excess and umbrella carriers. As opposed to the CX 00 01 09 08 form, the CU 00 01 12 07 is 17 pages in length. Section IV—Conditions expressly states the following in paragraph 9:

> 9. Transfer Of Rights Of Recovery Against Others To Us
>
> If the insured has rights to recover all or part of any payment we have made under this Coverage Part, those rights are transferred to us. The insured must do nothing after loss to impair them. At our request, the insured will bring "suit" or transfer those rights to us and help us enforce them.

In this paragraph, the insured expressly grants to the insurer its right of subrogation. If the underlying policy contains a waiver of subrogation, this provision in the excess form would directly conflict with it, thereby giving the insurer a right to subrogate for all payments made under the excess policy. In practice, this would permit an insurer to pursue subrogation against any potentially responsible party, perhaps even the upstream contractor.

[d] Primary and Non-Contributory Coverage Under Follow Form Excess Policies

Along with additional insured requirements, most construction contracts require that downstream parties endorse their primary policy to provide primary and non-contributory coverage. Depending on the exact language, such an endorsement generally provides that the downstream party's insurance policy will defend and pay indemnity prior to the upstream party's policy. However, primary and non-contributory coverage on the primary policy does not always provide sufficient coverage to the upstream parties—parties expect that the full limits required of the downstream party will be available to fund a loss caused by the downstream party's work or operations, before the upstream party's coverage pays a nickel. However, if the excess policy is not properly endorsed, the parties may be surprised to find that the downstream party's excess insurer has a valid basis for refusing to pay until *all* potentially applicable primary insurance under the theory known as "horizontal exhaustion."

"Horizontal exhaustion" is the principle of insurance priority that dictates that an excess insurance policy is not triggered, and thus does not respond to a loss, unless and until all applicable primary insurance policies have exhausted. This methodology elevates the actual terms of the insurance policies over the intent of parties to the underlying trade contracts in determining priority of coverage. Courts[73] in four jurisdictions have adopted horizontal exhaustion in the context of additional insured priority disputes: California, Illinois, New Jersey, and New York. [74]

One of the most oft-cited cases by insurers seeking to apply horizontal exhaustion to additional insured claims is *Bovis Lend Lease LMB, Inc. v. Great American Insurance Co.*,[75] wherein the New York appellate court found that a construction manager's primary CGL insurance was required to pay its limits toward a judgment before the construction manager could access any additional insured coverage provided by the subcontractors' excess insurance policies. The case involved a dispute over insurance coverage for a wrongful death action

[73] Note that no state supreme court has address priority of coverage in the additional insured context, and only nine states in total have any case law on the issue.

[74] *See* Reliance Nat'l Indem. Co. v. General Star Indem. Co., 72 Cal. App. 4th 1063, 85 Cal. Rptr. 2d 627 (1999); Community Redevelopment Agency v. Aetna Cas. & Surety Co., 50 Cal. App. 4th 329, 57 Cal. Rptr. 2d 755 (1996); Kajima Constr. Servs., Inc. v. Tokio Marine & Fire Ins. Co., 856 N.E.2d 452 (Ill. App. 2006); Jeffrey M. Brown Assocs., Inc. v. Interstate Fire & Cas. Co., 997 A.2d 1072 (N.J. Super. Ct. App. Div. 2010); Bovis Lend Lease LMB, Inc. v. Great Am. Ins. Co., 53 A.D.3d 140 (N.Y. App. Div. 2008).

[75] 53 A.D.3d 140 (N.Y. App. Div. 2008).

brought against Bovis Lend Lease LMB, Inc., which had served as construction manager on a construction project in the Bronx. Bovis had required that all of its subcontractors procure $5 million in CGL insurance, naming it as an additional insured, and that such insurance was to be primary to any other insurance maintained by Bovis. QBE, the primary CGL insurer for the subcontractor who employed the decedent, assumed Bovis' defense under a $1 million primary policy. However, a dispute arose among the remaining insurers concerning how the various policies should respond to the loss following exhaustion of QBE's limits. Specifically, the insurers who issued excess insurance policies to the subcontractors argued that they were not obligated to contribute toward a settlement or judgment until Bovis' own primary CGL policy had paid its limits.

The court began its analysis by noting that "New York law recognizes the right of each insurer to rely upon the terms of its own contract with its insured."[76] Thus, it would look to the insurance requirements laid out in the trade contracts only if the excess insurance policies incorporated the trade contracts. The court determined that the policies did not incorporate the contracts and thus, evaluated each of the excess insurance policies at issue according to their terms. After a careful analysis of each policy's relevant "other insurance" language, the court held that there was nothing in the policies which supported Bovis' claim that the excess insurance policies on which it was an additional insured had to respond to the loss before its own primary CGL policy paid. Ultimately, therefore, the court required Bovis' own primary CGL insurance to exhaust before any of the subcontractors' excess policies responded to its claim for additional insured coverage. "This determination," the court explained, "turns on consideration of the purpose each policy was intended to serve as evidenced by both its stated coverage and the premium paid for it, as well as upon the wording of its provision concerning excess insurance."[77] Umbrella insurance policies are intended to provide a "final tier" of coverage and, as such, are procured at a "premium reduced to reflect the lesser risk to the insurer."[78] Thus, it would be contrary to the expectations of the insurers to require "true excess" policies to pay before all primary insurance had exhausted.[79]

It is important to note that horizontal exhaustion is based on a strict interpretation of policy language. Thus, if the excess policies at issue in the *Bovis* decision had in fact incorporated or referenced the insurance requirements set forth in the trade contracts, the court likely would have reached a different result.[80] In addition, it is important to recognize that even where horizontal exhaustion applies, the downstream party will likely still be liable to the upstream

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[76] *Bovis*, 53 A.D.3d at 145.
[77] *Bovis*, 53 A.D.3d at 148.
[78] *Bovis*, 53 A.D.3d at 148.
[79] *Bovis*, 53 A.D.3d at 149.
[80] *See Bovis*, 53 A.D.3d at 145, *discussing Pecker Iron Works of* N.Y. v. Traveler's Ins. Co., 786 N.E.2d 863 (N.Y. 2003).

party for two things: (1) contractual indemnity (i.e., the downstream party's promise to directly defend and hold harmless the upstream party from liabilities arising out of its work); and (2) breach of contract to procure the required insurance (i.e., breach of the trade contract's requirement of a certain amount of primary insurance for the additional insured).[81]

"Vertical exhaustion," in stark contrast to "horizontal exhaustion," is the principle that most comports with the intentions of the contracting parties. Under this framework, primary and excess insurance policies purchased by the downstream entity pay their limits before any policy purchased by the upstream entity/additional insured. Courts in five jurisdictions have adopted vertical exhaustion in the context of additional insured priority of coverage disputes: Arkansas, Kentucky, Missouri, Texas, and Virginia.[82]

An example of a case applying the vertical exhaustion theory is *Chandler v. Liberty Mutual Insurance Group*,[83] which arose out of a fatal tractor-trailer accident in Kentucky. The tractor-trailer was owned by Dairy Farmers of America, Inc. ("DFA"), which leased the vehicle to Geo Transportation of Indiana, an independent contract hauler, who in turn, leased the vehicle, along with a driver, back to DFA. In the contracts, Geo agreed to indemnify DFA from all claims and agreed to provide $11 million in insurance, naming DFA as an additional insured. Both Geo and DFA procured primary automobile liability insurance policies from Liberty Mutual. Geo also procured a $9 million umbrella policy from American International Specialty Lines Insurance Company ("AISLIC").

In June 2002, the tractor-trailer crossed the median of a highway and collided with a minivan carrying four passengers, killing three and injuring the fourth. The passengers brought suit against the driver, Geo, and DFA. The primary policy issued by Liberty to Geo settled certain claims within the $2 million limit of liability. Liberty then notified AISLIC that its limits were on the verge of exhausting, but AISLIC argued that the $2 million Liberty policy issued to DFA had to exhaust before it would fund any settlements or judgment. The court analyzed the "Other Insurance" provision of the AISLIC policy as well as the agreement between Geo and DFA, and ultimately concluded that AISLIC was required to respond upon exhaustion of the Geo/Liberty policy. The AISLIC policy provided that it was excess of all "Scheduled Underlying Insurance" as

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[81] *See* Jeremiah M. Welch and Julian D. Ehrlich, *Horizontal Exhaustion: Challenges and Solutions*, 40 N.Y. State Bar Assoc., Torts, Ins. & Compensation L. Section J. 20, 21 (2011).

[82] Wal-Mart Stores, Inc. v. RLI Ins. Co., 292 F.3d 583 (8th Cir. 2002) (predicting AR law); Chandler v. Liberty Mut. Ins. Group, No. 2005-71, 2005 U.S. Dist. LEXIS 44426 (E.D. Ky. Nov. 3, 2005), *aff'd*, 212 F. App'x 553 (6th Cir. 2007); Federal Ins. Co. v. Gulf Ins. Co., 162 S.W.3d 160 (Mo. Ct. App. 2005); American Indem. Lloyds v. Travelers Prop. & Cas. Co., 335 F.3d 429 (5th Cir. 2003) (predicting TX law); St. Paul Fire & Marine Ins. Co. v. American Int'l Specialty Lines Ins. Co., 365 F.3d 263 (4th Cir. 2004) (predicting VA law).

[83] No. 2005-71 (WOB), 2005 U.S. Dist. LEXIS 44426 (E.D. Ky. Nov. 3, 2005), *aff'd*, 212 F. App'x 553 (6th Cir. 2007).

well as all "Other Insurance" unless specifically written to be excess of the AISLIC policy.[84] The court first noted that only the Geo/Liberty policy was listed as "Scheduled Underlying Insurance," not the DFA/Liberty policy. The court then determined that the DFA/Liberty policy was, in essence, specifically written to be excess of the AISLIC policy, given the indemnification agreement between DFA and Geo, which required $11 million in coverage running from Geo to DFA. AISLIC argued that the lease was irrelevant, extrinsic evidence to the policies; the court, however, rejected this argument, stating that "the majority of courts appear to have held that such an indemnity agreement is not only relevant, but pivotal to the 'excess v. primary' coverage analysis."[85] The court also disapproved of AISLIC's argument that it was—intrinsically—an excess policy which should pay last because it stated that AISLIC obtained the benefit of sitting excess over the Geo/Liberty policy, and there was no indication that it assessed its risk as an insurer by accounting for the DFA/Liberty policy as well.[86]

In summary, therefore, some jurisdictions are more inclined to give effect to the underlying promises among contracting parties, choosing to elevate results over form in applying the "vertical exhaustion" principle to additional insured priority disputes. Some courts have critiqued this method, claiming that it allows the insured to "manipulate the source of its recovery" and to blur the lines between primary and excess coverage.[87] However, as the courts which have been applying vertical exhaustion have held, whether a policy is " 'excess' or 'primary' depends not on the labels attached to them, but rather on a determination of who is required to pay first. Where there is an indemnity agreement that sets forth the parties' obligations to one another, that agreement must be consulted and will usually determine the allocation of liability in an insurance dispute."[88]

To ensure that the desired result is achieved, therefore, excess policies should be endorsed with a primary and non-contributory endorsement which, by its plain language, requires vertical exhaustion. Similar to the waiver of subrogation, even where the primary policy may include a primary and non-contributory endorsement, this will not follow form on excess where there is a conflict provision. Using the CX 00 01 and CU 00 01 forms again, both contain language that explicitly states that the policy will be "excess over, and shall not contribute with any of the other insurance, whether primary, excess, contingent or on any other basis." If the primary policy contained a primary and non-contributory endorsement, this provision would be in direct conflict. As such, the excess policy would require its own primary and non-contributory endorsement to ensure an outcome in line with vertical exhaustion.

[84] *Chandler*, 2005 U.S. Dist. LEXIS 44426, at *7–9.

[85] *Chandler*, 2005 U.S. Dist. LEXIS 44426, at *12–13.

[86] *Chandler*, 2005 U.S. Dist. LEXIS 44426, at *16–17.

[87] U.S. Gypsum v. Admiral Ins. Co., 643 N.E.2d 1226, 1262 (Ill. Ct. App. 1994).

[88] Fireman's Fund Ins. Co. v. St. Paul Fire & Marine Ins. Co., 182 F. Supp. 3d 793, 821 n.6 (M.D. Tenn. 2016), citing Chandler v. Liberty Mut. Ins. Group, No. 2005-71 (WOB), 2005 U.S. Dist. LEXIS 44426 (E.D. Ky. Nov. 3, 2005), *aff'd*, 212 F. App'x 553 (6th Cir. 2007).

Certainly, not every claim will extend beyond the primary policy and its initial limits. However, in the event of a significant exposure that has the potential to penetrate the excess limits, such insurance must be carefully reviewed to ensure that it is in line with risk transfer goals expectations. For purposes of excess, the plain language of the policy will dictate whether or not the policy truly follows form to the underlying, and similarly the manner in which coverage is or is not afforded.

[D] Automobile Liability Insurance

[1] Overview of Auto Liability Insurance

Another keystone of third-party liability construction insurance is commercial automobile insurance. CGL policies exclude coverage for bodily injury or property damage arising out of the ownership, maintenance, or use of an automobile owned or operated by or rented or loaned to an insured; thus, it is necessary for contractors to procure commercial auto insurance to protect themselves from liabilities arising out of their use of vehicles.[89]

The Business Auto Insurance form promulgated by the Insurance Services Office, Inc. defines "auto" as "[a] land motor vehicle, trailer, or semitrailer designed for travel on public roads; or any other land vehicle that is subject to a compulsory or financial responsibility law or other motor vehicle insurance law ether it is licensed or principally garaged. However, auto does not include mobile equipment."[90] This standard form covers bodily injury and property damage caused by an "accident" if certain criteria are met.[91] However, expected or intended injury is excluded, as well as damages that workers' compensation may cover. Thus, a standard commercial auto insurance policy, with exclusions and endorsements, often covers liability for physical damage and bodily injury (not otherwise covered by workers' compensation—such as bodily injury to the other driver), medical payments, uninsured motorist, and potentially comprehensive coverage (which may include the risk of stolen vehicles or destruction from natural disasters).

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[89] The CGL policy's auto exclusion is broadly applied. *See, e.g.*, Atain Spec. Ins. Co. v. Tribal Constr. Co., 912 F. Supp. 2d 1260 (W.D. Okla. 2012) (applying CGL auto exclusion to bar coverage where third-party company's employee died while delivering gravel that was ordered in insured's construction project); Evanston Ins. Co. v. Atain Spec. Ins. Co., 254 F. Supp. 3d 1150 (N.D. Cal. 2017) (applying CGL auto exclusion to bar coverage, notwithstanding concurrent causation, because the causes were not "totally independent" of each other).

[90] Note that the ISO form has a broad definition of "mobile equipment" which includes, but is not limited to, bulldozers, vehicles that operate cranes, and other vehicles that would commonly be used at construction sites.

[91] For example, the damages must result from the ownership, maintenance, or use of a covered auto. *See* Mank v. Western Am. Ins. Co., 620 N.E.2d 6 (Ill. App. Ct. 1993) (finding endorsement limiting coverage to vehicles listed in schedule unambiguous).

As with any insurance policy, disputes will arise over who or what is or is not covered under a particular policy. For example, personal vehicles when used in the course of employment are most likely covered under the owner's personal insurance policy. What if the employee is uninsured? If the employer's commercial auto policy covers "non-owned" or "hired" autos, the insurance policy may provide coverage. If not, the employer may face liability if the employee is injured or their vehicle is damaged while driving their personal vehicle for a work-related purpose.[92]

[2] Loading and Unloading Coverage Disputes

Another frequent dispute arises when property damage or bodily injury occurs while loading and unloading a vehicle. At what point does coverage begin and end under a commercial auto policy? A Texas appellate court, citing to two Texas Supreme Court cases, held that "loading and unloading embraces not only the immediate transference of the goods to or from the vehicle, but also the complete operation of transporting the goods between the vehicle and the place from or to which they are being delivered."[93] The court went on to say that *any* activity involved in transferring the goods "to their final physical destination" constitutes unloading. Thus, the person unloading is entitled to the same protection as the owner/operator.[94] The court found that the two individuals, who were unloading a deer stand from a trailer, were using the trailer when the accident occurred, for purposes of insurance coverage.[95] This is often referred to as the "complete operations" doctrine.[96]

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[92] *See, e.g.*, Lincoln Gen. Ins. Co. v. Gateway Sec. Servs. Inc., No. 1:06-cv-01143 OWW SMS, 2008 WL 4472932 (E.D. Cal. Sept. 30, 2008) (finding insurer had no duty to indemnify owner of company who was injured in accident while commuting to work in personal vehicle); *see also* Williamson v. Walles, No. L-08-1010, 2009 WL 641338 (Ohio Ct. App. Mar. 13, 2009) (finding employee, and his insurance, primarily liable, and employer's insurance secondarily liable, where employee caused accident while driving personal vehicle to pick up job materials during work hours). Aside from determining whether the commercial auto policy covers the vehicle, defining whether the employee was using the vehicle for a work-related purpose may itself be a source of dispute.

[93] Farmers Ins. Exch. v. Rodriguez, 366 S.W.3d 216, 227 (Tex. App. 2012).

[94] *Farmers*, 366 S.W.3d at 227–28.

[95] *Farmers*, 366 S.W.3d at 228. *See also* Agway Ins. Co. v. Goodville Mut. Cas., 48 F. App'x 37 (3d Cir. 2002) (stating the rule in Pennsylvania that the vehicle's use must be causally connected to the injury and not merely incidental thereto, and holding that vehicle was being "used" for purposes of coverage under auto policy, where driver was unloading steer from the vehicle, and the steer escaped, ran into traffic, and caused another vehicle to crash).

[96] Compare to the "coming to rest" doctrine, whereby unloading comprises the removing of the goods from the vehicle until the moment when the goods come to rest. *See* General Acci. Fire & Life Assurance Corp. v. Liberty Mut. Ins. Co., 260 So. 2d 249 (Fla. 4th Dist. Ct. App. 1972) (discussing the two doctrines).

The complete operations doctrine is not without limitation, however. In *Pisaneschi v. Turner Construction Co.*,[97] for example, the New Jersey Superior Court, Appellate Division, interpreted the scope of the loading and unloading doctrine. In that case, Pisaneschi, an employee of the subcontractor who was delivering and installing air conditioning equipment for a renovation project, unloaded the units onto the loading dock. After a co-worker moved the truck away from the loading dock, Pisaneschi injured himself while moving one of the packages to a storage area. The court observed that although the term "use" should be broadly defined to give effect to the legislative intent of assuring protection of innocent accident victims, coverage is not intended to insure all defendants from all claims. Rather it is intended to protect those who are actually using the vehicle during the delivery process. In concluding that delivery had been accomplished, the court stated that the goods were being internally manipulated as a matter of convenience.[98] Thus, the *Pisaneschi* case highlights the understanding that the point where loading begins or unloading ends is sometimes unclear, but the facts surrounding the process may become critical, i.e., whether the vehicle is still at the place of loading/unloading when the injury occurs, the purpose for the movement of the goods, etc.

[3] MCS-90 Endorsement

No discussion of commercial auto insurance is complete without discussing the federally mandated MCS-90 endorsement. When insurers issue the Form MCS-90 endorsement, they become obligated to pay for public liability that results from negligent operation, maintenance, or use of a vehicle subject to the financial responsibility requirements of the Motor Carrier Act of 1980. Public liability means liability for bodily injury, property damage, and environmental restoration. Coverage for public liability is afforded regardless of whether the vehicle is otherwise covered by the underlying insurance policy. It does, however, give the insurer the right to seek reimbursement from the insured if the claim would be excluded but for the endorsement.

The MCS-90 endorsement does not apply unless the liability arises out of the transportation of property in interstate commerce.[99] In *Pierre v. Providence Washington Insurance Co.*,[100] the New York Court of Appeals addressed the issue of who is an insured for purposes of the MCS-90

[97] 785 A.2d 50 (N.J. Super. Ct. App. Div. 2001).

[98] 785 A.2d at 52–53, 55–56, 58. The Court also noted the blurred line where the subcontractor was both delivery agent and installation agent. The *Pisaneschi* case identifies an important consideration for contractors and subcontractors who perform multiple roles on a jobsite: Where does the scope of one job end and the other begin? In the context of auto insurance policies, the distinction can mean the difference in coverage.

[99] *See* Martinez v. Empire Fire & Marine Ins. Co., 139 A.3d 611 (Conn. 2016) (denying coverage under carrier's policy where employee of insured caused accident with innocent third party).

[100] 784 N.E.2d 52 (N.Y. 2002).

endorsement. There, a tractor owner leased its tractor to a trailer owner. The trailer owner's employee struck another vehicle, causing injuries. The court agreed with the plaintiff, finding that because the term "insured" is undefined in the endorsement, the policy language controls. Because the driver and tractor owner were considered insureds under the policy, they must be insureds under the MCS-90 endorsement.[101]

Consistent with the idea that the endorsement is intended to indemnify the public but not change the underlying insurance policy, the Wisconsin Appellate Court ruled that the MCS-90 endorsement did not negate the pollution exclusion in a comprehensive general liability (CGL) policy. In *Robert E. Lee & Associates, Inc. v. Peters*,[102] a fuel company pumped 500 gallons more than a gas station owner had ordered, causing a spill. The fuel company joined its CGL insurer in the litigation that had ensued, seeking coverage for the spill under the MCS-90 endorsement. The court agreed with the insurer that the endorsement's sole purpose is to protect the public. Therefore, as between the insured and insurer, the endorsement did not alter the CGL coverage.

§ 8.05 OTHER INSURANCE PRODUCTS

[A] Workers' Compensation

[1] Overview of Workers' Compensation Insurance

Workers' Compensation refers to state laws that create specific benefits for injured employees. These laws were created to protect employees and provide financial compensation when an employee is injured in the course of his/her employment. Prior to states enacting workers' compensation statutes, legal theories, such as contributory negligence and assumption of risk, often functioned as bars to an employee's recovery in a lawsuit. Workers' compensation statutes essentially created a "no fault" system whereby an injured employee could recover for injury and lost wages, regardless how the injury occurred. Employees' recoveries are paid from programs that are entirely employer-funded, often via workers' compensation insurance programs.

Workers' compensation insurance is an important component of any business's complete insurance package (note that almost every general liability policy excludes workers' compensation). It is especially important, and in most

[101] *But see* Lynch v. Yob, 768 N.E.2d 1158 (Ohio 2002) (finding coverage for driver of semi-trailer under MCS-90 endorsement in trailer owner's auto policy despite driver being excluded from the policy's definition of insured and despite there being no claim that the trailer owner was negligent).

[102] 563 N.W.2d 546 (Wis. Ct. App. 1997).

states required, for construction professionals.[103] Construction sites bring with them increased risks of injuries, and workers' compensation can cover medical costs and lost wages. Specifically, workers' compensation coverage should cover the ambulance, hospital expenses, medication, physical therapy, disability, lost wages, death benefits, and in some states, an employer's attorney's fees and costs incurred if the employee sues the employer. Thus, the employer protection is far-reaching.

Depending on the jurisdiction, employers obtain workers' compensation insurance through private companies or state-funded programs (and in North Dakota, Ohio, Washington, and Wyoming, exclusively through the state-funded program), and some employers may qualify to self-insure. Failure to obtain required workers' compensation insurance will expose an employer not only to loss of indemnity, but also to civil fines and criminal liability.[104]

Some employers may qualify to operate a self-insured workers' compensation plan (SIP) if the employer meets state-specific requirements. For example, a California employer may self-insure its workers' compensation if the employer has been in business for three years, has independently audited financial statements, and has a good credit rating. Other requirements may apply, such as using a third-party administrator and/or posting a sizeable bond.[105] Effectively, employers who operate a SIP pay claims out of pocket as they are incurred and often maintain excess insurance policies to cover costs above a certain threshold.

[2] The "Exclusivity Rule"

The "exclusivity rule," adopted in most states, guarantees tort immunity, with exceptions, for employers who purchase and maintain adequate workers' compensation coverage.[106] In other words, employees cannot sue their employer

[103] The State of Texas does not require contractors to purchase workers' compensation insurance unless the contractor is working for a public employer. However, an employer who is sued when an employee injures themselves during the scope of employment may not assert the defenses of contributory negligence, assumed risk, or the fellow-servant rule. Tex. Lab. Code §§ 406, *et seq.*; *see, e.g.*, Taff v. Singer Sewing Mach. Co., 331 F.2d 405 (5th Cir. 1964). Thus, although workers' compensation insurance may not be required, it is likely a cost-effective investment for any contractor or subcontractor working in the construction industry where accidents are almost guaranteed to occur.

[104] For example, in New York, failure to secure workers' compensation insurance for more than five (5) employees is a felony and punishable by imposition of a $5,000–$50,000 fine. Subsequent offenses carry more severe penalties. Likewise, the president, secretary, and treasurer of corporation are all liable for such failures. N.Y. Workers Comp. Law § 52 (McKinney).

[105] *See dir.ca.gov/osip* (last accessed October 8, 2020); Cal. Lab. Code § 3701.8 (2020).

[106] Likewise, many states offset workers' compensation benefits against other benefits, such as Social Security. *See, e.g.*, Dixon v. GAB Bus. Servs., Inc., 767 So. 2d 443 (Fla. 2000) (offsetting workers' compensation benefits against Social Security Disability to the extent claimant's benefits exceed 80% of average weekly wage or average current earnings, whichever is greater); Di Gregorio v. Coca Cola Bottling, Co., 34 A.D.3d 1150 (N.Y. App. Div. 2006) (offsetting workers' compensation benefits received at same time as Social Security survivor benefits).

for injuries covered by workers' compensation. This *quid pro quo* is written into most states' statutes. In exchange for an employee being entitled to compensation almost as a matter of right (in most instances, the employee need only prove the injury was work-related),[107] the employer is protected from costly, protracted litigation and significant liability.

This bargain is not without limitation, however. Certain classes of people (such as independent contractors), certain injury-causing acts (such as criminal actions), and certain injuries (such as stress-related depression) may be excluded from coverage in different states.[108] Economic or contract damages likewise may not be subject to the exclusivity rule. Similarly, employer misconduct may subject the employer to tort liability, notwithstanding the rule. In California, for example, the Supreme Court held that false imprisonment is a type of "injurious employer misconduct" that falls outside the "compensation bargain" afforded by the exclusivity rule.[109]

Litigation often arises out of disputes concerning the exclusivity rule. In the construction context, parties often dispute who is considered the employer. The "statutory employer" rule provides that an employee can sue anyone except their direct employer. Who, then, is the employer of the painter hired by a subcontractor to perform work on a construction project being managed and overseen by a general contractor? The answer may differ depending on the state. Furthermore, some states protect statutory employers under the exclusivity rule regardless of whether workers' compensation benefits are paid. Others provide no immunity. Still, other states provide immunity under the rule only where the statutory

[107] *See, e.g.*, Wen Liu v. Division of Gen. Internal Med., No. 530215, 2020 WL 5238578 (N.Y. App. Div. Sept. 3, 2020) (claimant must demonstrate, by competent medical evidence, a causal connection between his/her injuries and employment); McAllister v. Workmen's Comp. Appeals Bd., 445 P.2d 313 (Cal. 1968) (claimant need only establish the reasonable probability of industrial causation).

[108] Some occupational hazards do not manifest for many years, such as asbestos-related cancers, and such injuries may not be covered under a state's workers' compensation laws due to limitations periods contained therein. Employers may be exposed to tort liability for such claims where workers' compensation claims are barred. *See, e.g.*, Tooey v. AK Steel Corp., 81 A.3d 851 (Pa. 2013) (holding that employees could sue employer for injuries suffered after contracting work-related mesothelioma, where manifestation of injuries occurred outside the time limitation imposed by the State of Pennsylvania's Workers' Compensation Act, thus precluding recovery under the Act); *but see* Hendrix v. Alcoa, Inc., 506 S.W.3d 230 (Ark. 2016) (affirming dismissal of lawsuit brought by surviving spouse of employee who died from work-related mesothelioma, where injuries manifested outside the statute of repose period under Arkansas's Workers' Compensation Act).

[109] Fermino v. Fedco, Inc., 872 P.2d 559 (Cal. 1994); *see also* Billy v. Consolidated Machine Tool Corp., 412 N.E.2d 934 (N.Y. 1980) (holding that exclusivity rule did not bar action against employer where liability arose from employer's assumption of obligations and liabilities of third-party tortfeasor).

employer is liable for securing workers' compensation benefits.[110] Thus, if the contractor provides workers' compensation coverage, it is generally immune from tort liability under the exclusivity rule. Other states, such as Delaware, do not provide immunity for upstream parties.[111]

Application of the exclusivity rule to statutory employers has generated significant debate, especially in the context of wrap-up programs (owner- or contractor-controlled insurance programs, also known as OCIPs or CCIPs). The outcome, which can be significant for general contractors, depends on state law. In one Kentucky case, a direct employer could assert immunity under the exclusivity rule where it secured workers' compensation coverage under an OCIP.[112] The Georgia Supreme Court, on the other hand, has declined to apply the exclusivity rule to workers' compensation coverage purchased under an OCIP.[113] Still, other states have found that the existence of an OCIP/CCIP is irrelevant to the general contractor's status as statutory employer for purposes of applying the exclusivity rule. In those states, relevant statutes and principles, such as the right to control or fire, guide the determination.[114]

As this chapter highlights, every construction professional must closely scrutinize their workers' compensation coverage to ensure they have adequate protection in place to reduce their risk and exposure to litigation and liability when a worker injures himself or herself in the course of employment. When shopping for and securing workers' compensation coverage, employers should be aware of the potential exclusions that create gaps in coverage.

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[110] *See, e.g.*, Fla. Stat. § 440.10 (2020) (if a contractor sublets any part of his or her work to a subcontractor, all employees of the contractor and subcontractor engaged in the work shall be deemed to be employed in one business, and the contractor is liable for, and shall secure, payment of compensation to all such employees). *See also* Mid-Continent Cas. Co. v. Arpin & Sons, LLC, No. 18-11784, 2020 WL 4464365 (11th Cir. Aug. 4, 2020) (affirming the district court's ruling that the workers' compensation exclusion in contractor's general liability policy applied, where contractor of church construction project allowed church to hire subcontractor, and subcontractor's employee injured himself in the course of performing work). Georgia is similar. *See* Ga. Code Ann. § 3-9-8 (a principal is liable for compensation to an employee injured while employed by subcontractor).

[111] *See* Dickinson v. Eastern Railroad Builders, Inc., 403 A.2d 717 (Del. 1979) (permitting tort suit against contractor where subcontractor was solely responsible for workers' compensation on behalf of its employees).

[112] Casey v. Vanderlande Indus., Inc., No. 3:01CV-413-S, 2002 WL 1496815 (W.D. Ky. June 28, 2002).

[113] Pogue v. Oglethorpe Power Corp., 477 S.E.2d 107 (Ga. 1996) (denying statutory immunity to owner who purchased wrap-up insurance policy to provide workers' compensation coverage for on-site contractors).

[114] *See, e.g.*, Pride v. Liberty Mut. Ins. Co., No. 04-C-703, 2007 WL 1655111 (E.D. Wis. June 5, 2007) (holding that Wisconsin's exclusive remedy rule applies only to employers, denying summary judgment against plaintiff-subcontractor-employee who sued general contractor and another subcontractor for negligence); *but see* Rodrigues-Novo v. Recchi Am., Inc., 846 A.2d 1048 (Md. Ct. App. 2004) (analyzing the master-servant relationship and concluding that owner was statutory employer subject to exclusivity rule protection in lawsuit filed by employee of subcontractor).

Wrap-up programs can create a false sense of security for general contractors who purchase workers' compensation coverage for the benefit of the subcontractors' employees. The key for construction companies is to recognize that each state's laws may provide different levels of protection. Companies must carefully conduct a risk assessment by examining their workers' compensation policies and general liability policies to analyze coverage, exclusions, and coverage gaps. This will guide the employers' decisions, such as whether to purchase gap insurance or whether to accept a certain level of risk.

APPENDIX 8-A

STATE-BY-STATE SURVEY: CONSTRUCTION ANTI-INDEMNITY STATUTES

Construction Anti-Indemnity Statutes

In addition to additional insured coverage afforded to upstream parties, indemnity is an effective risk transfer tool. Indemnity is the right of an injured party to claim reimbursements for its loss, damage, or liability from another party. An indemnification agreement is a "contract between two parties whereby the one undertakes and agrees to indemnify the other against loss or damage arising from some contemplated act on the part of the indemnitor, or from some responsibility assumed by the indemnitee, or from the claim or demand of a third person, that it, to make good to him such pecuniary damage as he may suffer." Black's Law Dictionary 393 (5th ed. 1979). A party's indemnity obligation to another party arises in two situations: common law indemnity and contractual indemnity. This survey focuses solely on the enforceability of contractual indemnity obligations.

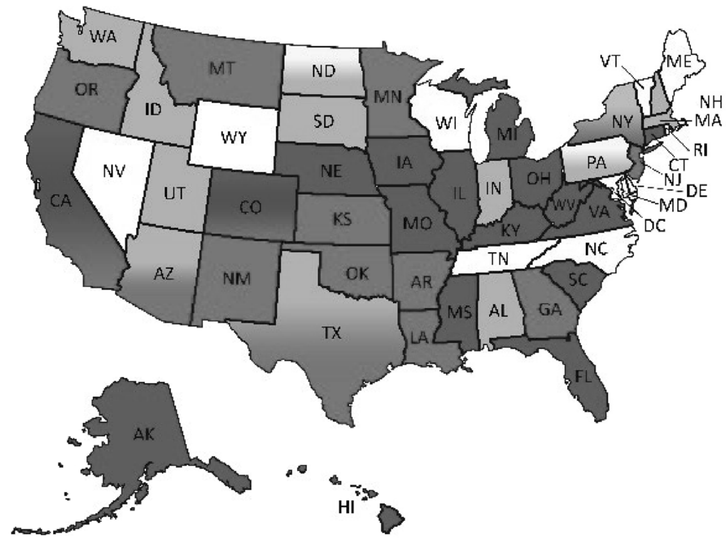
A classic example of a typical contractual indemnity provision is as follows:

> "Subcontractor shall defend, indemnify, and hold harmless the Contractor from any claims, damages, losses, and expenses arising out of the performance of the work."

The majority of states have enacted "anti-indemnity statutes," which limit or prohibit enforcing indemnification agreements in construction contracts. Some states further limit the anti-indemnity statute's application to public and/or design projects. In general, there are two overarching reasons why construction contracts are often singled out for special treatment when it comes to the limitation of indemnification for an indemnitee's own negligence. 1-13 General Liability Insurance Coverage § 13.00 (3rd 2015). First is a concern that a party being indemnified for its own negligence will have less incentive to exercise due care in the performance of its work. *Id*. The other rationale is a concern that general contractors, because of unequal bargaining power, can compel their subcontractors to accept such an onerous contractual term as one that requires a party to assume liability for the negligence of others. *Id.*

To the extent that an anti-indemnity statute applies to a particular contractual indemnity provision, such anti-indemnity statutes limit the scope of indemnity. This survey depicts the states that allow for the following forms of indemnity: indemnity for a party's sole negligence; full indemnity in situations of concurrent negligence; and partial indemnity in situations of concurrent negligence. Some states have extended the anti-indemnity principle to contractual requirements for additional insured coverage. Those states are noted in the survey. In addition, the map on the following page identifies which states extend the reach of their anti-indemnity statute to additional insured coverage, either explicitly by the terms of the statute or by court interpretation.

Construction Anti-Indemnity Statutes | 3



Application of Anti-Indemnity to Additional Insured Coverage

- Anti-Indemnity statute also prohibits additional insured coverage for the sole negligence of the indemnitee.
- Anti-Indemnity statute does not apply to additional insured coverage, by statute or case law.
- Anti-Indemnity statute does not specify whether it applies to additional insureds, and no case law interpreting.
- Unclear or no statute.

Note: States with blended colors have different rules depending on the type of contract (e.g., public v. private, design v. construction).

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Construction Anti-Indemnity Statutes | 4

State	Contracts Affected	Type of Indemnity Allowed			Statute	Application to Additional Insured
		Sole Negligence of Indemnitee	Concurrent Negligence			
			Full Indemnity	Partial Indemnity		
Alaska	All Construction and Design Contracts	No	Yes	Yes	ALASKA STAT. § 45.45.900	No ALASKA STAT. § 45.45.900
Alabama	Non-Specific	Yes	Yes	Yes	No statute. *See Indus. Tile, Inc. v. Stewart*, 388 So.2d 171, 175 (Ala. 1980) ("between private parties, indemnity contracts are enforceable if the contract clearly indicates an intention to indemnify against the consequences of the indemnitee's negligence, and such provision was clearly understood by the indemnitor, and there is not shown to be evidence of a disproportionate bargaining position in favor of the indemnitee."); *Doster Constr. Co., Inc. v. Marathon Elec. Contractors, Inc.*, 32 So.3d 1277, 1283 n.2 (Ala. 2009) ("[i]ndemnification for an indemnitee's own negligence requires 'clear and unequivocal language.'")	-
Arizona	Public Construction and Design Contracts	No	No	Yes	ARIZ. REV. STAT. § 41-2586. ARIZ. REV. STAT. § 34-226.	Yes ARIZ. REV. STAT. § 34-226(C)
	Private Construction and Design Contracts	No	Yes	Yes	ARIZ. REV. STAT. § 32-1159.	-
Arkansas	All Construction and Design Contracts	No	No	Yes	ARK. CODE ANN. §§ 4-56-104, 22-9-214. **Note**: There are additional restrictions that apply to the indemnitee and third parties that do not qualify as the contractor's agent, representative, subcontractor, or supplier.	Yes ARK. CODE ANN. § 4-56-104(b), (e)
California	Residential Construction and Design Contracts	No	No	Yes	CAL. CIV. CODE § 2782(a),(c), (d). **Note**: Exceptions for indemnification of adjacent property owner, certain engineers, and geologists. *See* CAL. CIV. CODE §§ 2782.1, 2782.2, 2782.6.	Yes CAL. CIV. CODE § 2782(d)
	Construction Contracts with Public Agency	No	No	Yes	CAL. CIV. CODE § 2782(a), (b)	Yes CAL. INS. CODE § 11580.04
	All Other Construction Contracts	No	No	Yes	CAL. CIV. CODE §§ 2782(a), (c), 2782.05, 2783. **Note**: Exceptions for indemnification of adjacent property owner, certain engineers, and geologists. *See* CAL. CIV. CODE § 2782.1., 2782.2, 2782.6 .	Yes CAL. CIV. CODE § 2782 (C)

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Construction Anti-Indemnity Statutes | 5

State	Contracts Affected	Type of Indemnity Allowed: Sole Negligence of Indemnitee	Concurrent Negligence: Full Indemnity	Concurrent Negligence: Partial Indemnity	Statute	Application to Additional Insured
Colorado	"Public Entity" Construction and Design Contracts	No	No	Yes	COLO. REV. STAT. § 13-50.5-102(8).	No COLO. REV. STAT. § 13-50.5-102(8)
	Construction Agreements	No	No	Yes	COLO. REV. STAT. § 13-21-111.5.	Yes COLO. REV. STAT. § 13-21-111.5(6).
Connecticut	All Construction Contracts	No	No	Yes	CONN. GEN. STAT. § 52-572k.	No CONN. GEN. STAT. § 52-572k
Delaware	All Construction and Design Contracts	No	No	Yes	DEL. CODE ANN. tit. 6, § 2704; *see also Chrysler Corp. v. Merrell & Garaguso, Inc.*, 796 A.2d 648 (Del. 2002) (one party to a construction contract may not agree to indemnify the other party for the latter's own negligence, but the requirement to purchase insurance may or may not be unenforceable dependent on circumstances).	Unclear. *See Chrysler Corp. v. Merrell & Garaguso, Inc.*, 796 A.2d 648 (Del. 2002) (explaining that in situation where additional insured was already added to policy and paid for, insurer could not refuse to provide coverage, but suggesting that insurer might be able to refuse initial grant of coverage based on statute).
District of Columbia	Non-Specific	Yes	Yes	Yes	No statute. *See N.P.P. Contractors, Inc. v. John Canning & Co.*, 715 A.2d 139 (D.C. 1998) (indemnification contract allowed as it was clear and unambiguous); *Steele Founds., Inc. v. Clark Constr. Grp., Inc.*, 937 A.2d 148 (D.C. 2007) (same).	-

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Construction Anti-Indemnity Statutes | 6

State	Contracts Affected	Type of Indemnity Allowed: Sole Negligence of Indemnitee	Concurrent Negligence: Full Indemnity	Concurrent Negligence: Partial Indemnity	Statute	Application to Additional Insured
Florida	All Construction and Design Contracts (see exception per FLA. STAT. § 725.08)	No, unless contract contains 1) monetary limit on the extent of the indemnification that bears a reasonable commercial relationship to the contract, and 2) is a part of the specification and bid documents.	No, unless contract contains 1) monetary limit on the extent of the indemnification that bears a reasonable commercial relationship to the contract, and 2) is a part of the specification and bid documents.	Yes	FLA. STAT. § 725.06. FLA. STAT. § 725.06 (2), (3) provides that public agency construction contracts may require the other party to indemnify and hold harmless to the extent of loss caused by the indemnifying party's negligence, recklessness, or intentional wrongful conduct, but otherwise it is not permitted. FLA. STAT. § 725.08. Allows a public agency to require a design professional to hold that agency harmless for design professional's negligence, recklessness or intentional wrongful conduct.	No *See Cone Bros. Contracting Co. v. Ashland-Warren, Inc.*, 458 So.2d 851 (Fla. Dist. Ct. App. 1984).
Georgia	All Construction Contracts, and Engineering, Architectural and Land-Surveying Contracts	No	Yes, for Construction Contracts. No, for Engineering, Architectural and Land-Surveying Contracts.	Yes, for Engineering, Architectural and Land-Surveying Contracts (for negligence, recklessness, wrongful intentional conduct).	GA. CODE ANN. § 13-8-2(b), (c).	Yes GA. CODE ANN. § 13-8-2(b), (c); *Federated Dep't Stores v. Superior Drywall & Acoustical, Inc.*, 592 S.E.2d 485 (Ga. App. Ct. 2005).
Hawaii	All Construction Contracts	No	Yes	Yes	HAWAII REV. STAT. § 431:10-222.	No HAWAII REV. STAT. § 431:10-222
Iowa	All Construction and Design Contracts	No	No	Yes	IOWA CODE ANN. § 537A.5.	No IOWA CODE ANN. § 537A.5
Idaho	All Construction Contracts	No	Yes	Yes	IDAHO CODE § 29-114.	-

Construction Anti-Indemnity Statutes | 7

State	Contracts Affected	Type of Indemnity Allowed: Sole Negligence of Indemnitee	Concurrent Negligence: Full Indemnity	Concurrent Negligence: Partial Indemnity	Statute	Application to Additional Insured
Illinois	All Construction Contracts	No	No	Yes	740 Ill. Comp. Stat. 35/1.	No, unless additional insured coverage agreement is linked to indemnification agreement. *See* 740 Ill. Comp. Stat. 35/3; *Transcon. Ins. Co. v. Nat'l Union Fire Ins. Co. of Pittsburgh*, 662 N.E.2d 500 (Ill. App. Ct. 1996).
Indiana	All Construction and Design Contracts except Highway Contracts	No	Yes	Yes	Ind. Code § 26-2-5-1, § 26-2-5-2.	-
Kansas	All Construction and Design Contracts	No, unless agreement provides in writing that the indemnity will be supported by liability insurance furnished by indemnitor subject to limitations.	No, unless agreement provides in writing that the indemnity will be supported by liability insurance furnished by indemnitor subject to limitations	Yes	Kan. Stat. Ann. § 16-121(b). **Note:** Statute does not apply to agreements that provide in writing that the indemnity provision will be supported by liability insurance furnished by the indemnitor. In those circumstances, Indemnification shall be limited to the amount and scope agreed upon by indemnitor in contract. In the case of unilateral indemnification, indemnitee shall be responsible for cost.	Yes Kan. Stat. Ann. § 16-121(c).
Kentucky	All Construction Contracts; No Mention of Design	No	No	Yes	Ky. Rev. Stat. Ann. § 371.180.	No Ky. Rev. Stat. Ann. § 371.180
Louisiana	All Construction and Design Contracts	No, unless provision includes requirement to procure insurance to support indemnity requirement subject to limitation.	No, unless provision includes requirement to procure insurance to support indemnity requirement subject to limitation.	Yes	La. Stat. Ann. § 9:2780.1. **Note:** Applicable to contracts entered into after Jan. 1, 2011. Statute does not apply to agreements that the indemnity provision will be supported by liability insurance furnished by the indemnitor. In those circumstances, Indemnification shall be limited to the amount and scope agreed upon by indemnitor in contract and Indemnitor must recover cost in contract price. *But see Roundtree v. New Orleans Aviation Bd.*, 844 So.2d 1091 (La. Ct. App. 2003) (holding that for contracts entered into before Jan. 1, 2011, indemnification is permitted if the intent is expressed in unequivocal terms).	Yes La. Stat. Ann. § 9:2780.1(I).

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Construction Anti-Indemnity Statutes | 8

State	Contracts Affected	Type of Indemnity Allowed			Statute	Application to Additional Insured
		Sole Negligence of Indemnitee	Concurrent Negligence			
			Full Indemnity	Partial Indemnity		
Maine	Non-Specific	Yes	Yes	Yes	No statute. *See State Farm Mut. Ins. Co. v. Koshy*, 995 A.2d 651 (Me. 2010) (allowing indemnification contracts if clearly stated).	-
Maryland	All Construction & Design Contracts	No	Yes	Yes	MD. CODE ANN. § 5-401.	Unclear. *See Heat & Power Corp. v. Air Prods. & Chems., Inc.*, 578 A.2d 1202 (Md. 1990) (explaining that it may arguably be against public policy to require purchase of insurance coverage by indemnitor for indemnitee's own negligence, but holding that in situation where insurance coverage was already procured for such purpose must be provided).
Massachusetts	All contracts in which a subcontractor agrees to indemnify another for injury or damage not caused by the subcontractor	No	Yes	Yes	MASS. GEN. LAWS ch. 149, § 29C; *see also Kelly v. Dimeo, Inc.*, 581 N.E.2d 1316 (Mass. App. Ct. 1991) (allowing full indemnity).	-

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Construction Anti-Indemnity Statutes | 9

State	Contracts Affected	Type of Indemnity Allowed: Sole Negligence of Indemnitee	Concurrent Negligence: Full Indemnity	Concurrent Negligence: Partial Indemnity	Statute	Application to Additional Insured
Michigan	All Construction Contracts	No	Yes	Yes	MICH. COMP. LAWS § 691.991.	No, unless additional insured coverage agreement is linked to indemnification agreement. *See Sentry Ins. Co. v. Great Lakes Steel. Corp.*, 382 N.W.2d (1985) (holding that the statute does not apply to an obligation to provide insurance coverage), *but see Peeples v. City of Detroit*, 297 N.W.2d 839 (Mich. App. Ct. 1980) (holding that requirement in agreement to procure insurance to support liability is inapplicable because it is governed by indemnification provision, which court found to be void).
	All Design Contracts	No	Yes, except Public Entity contracts with Michigan-licensed professional	Yes, for Public Entity contracts with Michigan Licensed professional	MICH. COMP. LAWS § 691.991	No, unless additional insured coverage agreement is linked to indemnification agreement.
Minnesota	All Construction Contracts	No	Yes, if injury is attributable to breach of contract, or a negligent or wrongful act or omission	Yes	MINN. STAT. § 337.01, § 337.02	Yes, but there is an exception for project-specific insurance including contractor-controlled insurance programs or policies. MINN. STAT. § 337.05(b), (c).
Missouri	All construction contracts, except contracts between state and governmental agencies)	No	No	Yes	MO. REV. STAT. § 434.100. **Note:** Statute does not apply to agreements that require indemnity obligations to be supported by liability insurance furnished by the indemnitor. In those circumstances, Indemnification shall be limited to the amount and scope agreed upon by indemnitor in contract. Indemnitor must recover cost in contract price.	No MO. REV. STAT. § 434.100(2).

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Construction Anti-Indemnity Statutes | 10

State	Contracts Affected	Type of Indemnity Allowed: Sole Negligence of Indemnitee	Concurrent Negligence: Full Indemnity	Concurrent Negligence: Partial Indemnity	Statute	Application to Additional Insured
Mississippi	All Construction Contracts	No	No	Yes	MISS. CODE ANN. § 31-5-41.	No, unless additional insured coverage agreement is linked to indemnification agreement. See *Roy Anderson Corp. et. al. v. Trancon. Ins. Co.*, 358 F. Supp. 2d (S.D. Miss. 2005).
Montana	All Private Construction Contracts	No	No	Yes	MONT. CODE ANN. § 28-2-2111. **Note:** Exception for requirement to procure project specific insurance.	Yes MONT. CODE ANN. § 28-2-2111.
	Applies to all Public Construction Contracts	No	No	Yes	MONT. CODE ANN. § 18-2-124. Exception for requirement to procure project specific insurance.	Yes MONT. CODE ANN. § 18-2-124.
Nebraska	All Construction and Design Contracts	No	No	Yes	NEB. REV. STAT. § 25-21,187(1).	No NEB. REV. STAT. § 25-21,187(1); *Anderson v. Nashua Corp.*, 560 N.W.2d 446 (Neb. 1997).
Nevada	All contracts (except worker's compensation *see* NEV. REV. STAT. ANN. § 616B.609)	No	Yes	Yes	No statute. *See George L. Brown Ins. Agency, Inc. v. Star Ins. Co.*, 237 P.3d 92 (Nev. 2010) (allowing indemnification for indemnitee's own negligence if clearly and explicitly stated in contract); *Reyburn Lawn & Landscape Designers, Inc. v. Plaster Dev. Co., Inc.*, 255 P.3d 268 (Nev. 2011) (holding that the intent to indemnify for contributory negligence and sole negligence of the indemnitors must be explicitly stated, and a general provision purporting to indemnify the indemnitee against "any and all claims" is insufficient to achieve this goal).	-
New Hampshire	All Construction Contracts	No	No	Yes	N.H. REV. STAT. § 338-A:2.	-
	All Design Contracts	No	No	Yes	N.H. REV. STAT. § 338-A:1.	-

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Construction Anti-Indemnity Statutes | 11

State	Contracts Affected	Type of Indemnity Allowed			Statute	Application to Additional Insured
		Sole Negligence of Indemnitee	Concurrent Negligence			
			Full Indemnity	Partial Indemnity		
New Jersey	All Construction Contracts	No	Yes	Yes	N.J. Stat. Ann. § 2A:40A-1.	Unclear. N.J. STAT. ANN. § 2A:40A-1 states that section shall not affect insurance contract, workmen's compensation or agreement issued by authorized insurer, *but see Shannon v. B.L. England Generating Station*, No. 10-04524, 2013 WL 6199173 (D.N.J. Nov. 27, 2013), which holds that anti-indemnity public policy and laws apply to additional insured coverage.
	All agreements where the indemnitee is a design professional and liability arises out of design services	No	Yes	Yes	N.J. Stat. Ann. § 2A:40A-2.	Unclear. N.J. STAT. ANN. § 2A:40A-2 makes no reference to additional insurance coverage, *but see Shannon v. B.L. England Generating Station*, No. 10-04524, 2013 WL 6199173 (D.N.J. Nov. 27, 2013), which holds that anti-indemnity public policy and laws apply to additional insured coverage.
New Mexico	All Construction and Design Contracts	No	No	Yes	N.M. Stat. Ann. § 56-7-1.	Yes N.M. Stat. Ann. § 56-7-1(A); *First Mercury Ins. Co. v. Cincinnati Ins. Co.*, 882 F.3d 1289 (10th Cir. 2018) (holding that explicit language of anti-indemnity statute includes application to requirements to insure for sole negligence of indemnitee).

Construction Anti-Indemnity Statutes | 12

State	Contracts Affected	Type of Indemnity Allowed			Statute	Application to Additional Insured
		Sole Negligence of Indemnitee	Concurrent Negligence			
			Full Indemnity	Partial Indemnity		
New York	Construction Contracts	No	No	Yes	N.Y. GEN. OBLIG. LAW § 5-322.1.	No N.Y. GEN. OBLIG. LAW § 5-322.1; *Cappellino v. Atco Mech.*, 273 A.D.2d 265 (N.Y. Sup. Ct. 2000) (holding that insurance provisions are separable from indemnification agreements, to which the anti-indemnity law applies).
	Design professional seeking indemnity for liability arising out of defective maps, plans, design or specifications	No	No	Yes	N.Y. GEN. OBLIG. LAW § 5-324.	-
North Carolina	Construction and Design Contracts	No	No	Yes	N.C. GEN. STAT. § 22B-1.	Unclear. Technically, no. *But see Penn. Nat'l Mut. Cas. Ins. Co. v. Assoc. Scaffolders & Equip. Co., Inc.*, 579 S.E.2d 404 (N.C. Ct. App. 2003) (holding that insurer no did not have to provide defense or indemnity when coverage was only based on "insured contract" and contract was deemed void by the anti-indemnity statute).
North Dakota	Contracts where contractor indemnifies owner or its agents for design errors	No	No	Yes	N.D. CENT. CODE § 9-08-02.1.Owners cannot be indemnified by contractors for design errors of the owner or the owner's agents.	-
	All other contracts	Yes	Yes	Yes	No Statute. *See Rupp v. American Crystal Sugar Co.*, 465 N.W.2d 614 (N.D. 1991) (finding that indemnification agreements for another party's negligence are permitted provided they clearly indicate an intent to do so); but see N.D. Cent. Code § 9-08-02 (parties cannot be indemnified for negligent violation of law)	-

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Construction Anti-Indemnity Statutes | 13

State	Contracts Affected	Type of Indemnity Allowed			Statute	Application to Additional Insured
		Sole Negligence of Indemnitee	Concurrent Negligence			
			Full Indemnity	Partial Indemnity		
Ohio	Construction and Design Contracts.	No	No	Yes	OHIO REV. CODE ANN. § 2305.31.	No OHIO REV. CODE ANN. § 2305.31; *Brzeczek v. Standard Oil Co.*, 447 N.E.2d 760 (Ohio Ct. App. 1982) (stating that insurance provision is just a risk allocation of the liability to third parties).
Oklahoma	Construction Agreements	No	No	Yes	OKLA. STAT. tit. 15, § 221.	Yes OKLA. STAT. tit. 15, § 221(B), (C). Exception for contract clauses which require procurement of a project-specific insurance policy, including owners' and contractors' protective liability insurance, project management protective liability insurance, or builder's risk insurance.
Oregon	Construction and Design Contracts	No	No	Yes	OR. REV. STAT. § 30.140. **Note**: Statute does not apply to railroads as defined in OR. REV. STAT. § 824.200	Yes OR. REV. STAT. § 30.140; *Walsh Constr. Co. v. Mut. Enumclaw*, 104 P.3d 1146 (Or. 2005).
Pennsylvania	Construction design contracts where design professional is the indemnitee	No	No	No	68 PA. CONS. STAT. § 491.	-
	Construction Contracts	Yes	Yes	Yes	No statute. *See Ocean Spray Cranberries, Inc. v. Refrigerated Food Distribs., Inc.*, 936 A.2d 81 (Pa. Super. Ct. 2007) (allowing indemnification contracts if clearly and explicitly stated).	-

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Construction Anti-Indemnity Statutes | 14

State	Contracts Affected	Type of Indemnity Allowed: Sole Negligence of Indemnitee	Concurrent Negligence: Full Indemnity	Concurrent Negligence: Partial Indemnity	Statute	Application to Additional Insured
Rhode Island	Construction and Design Contracts	No	No	Yes	R.I. GEN. LAWS § 6-34-1.	Unclear. Technically, no. *But see Cosimini v. Atkinson-Kiewit Joint Venture*, 877 F. Supp. 68 (D.R.I. 1995) (reforming insurance provision in contract to align with reformed indemnification provision, which was found non-compliant with anti-indemnity law, because insurance provision had direct reference to indemnification provision).
South Carolina	Construction and design contracts except electric utility, RR carriers, SCPSA	No	Yes		S.C. CODE ANN. § 32-2-10.	No S.C. CODE ANN. § 32-2-10
South Dakota	Construction and Design Contracts	No	Yes		S.D. CODIFIED LAWS § 56-3-18.	-
Tennessee	Construction Contracts	No	Yes	Yes	TENN. CODE ANN. § 62-6-123; *but see Posey v. Union Carbide Corp.*, 507 F. Supp. 39 (D. Tenn. 1980) (limiting the availability of additional insured coverage when the underlying contract between the named insured and additional insured violates the statute).	Unclear. Technically, no. *But see Posey v. Union Carbide Corp.*, 507 F. Supp. 39 (D. Tenn. 1980) (limiting the availability of additional insured coverage when coverage was based on "insured contract" and the indemnification provision violated the anti-indemnity statute).

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Construction Anti-Indemnity Statutes | 15

State	Contracts Affected	Type of Indemnity Allowed			Statute	Application to Additional Insured
		Sole Negligence of Indemnitee	Concurrent Negligence			
			Full Indemnity	Partial Indemnity		
Texas	Construction-Related Design Contracts	No	No	Yes	TEX. CIV. PRAC. & REM. CODE §§ 130.002(1), (2); 130.005 (stating that this chapter does not apply to the negligent acts of contractors); *see Foster, Henry, Henry, & Thorpe, Inc. v. J.T. Constr. Co. Inc.*, 808 S.W.2d 139, 141 (Tx. App. 1991) (finding that this statute only applies when the indemnification agreement requires indemnity for loss caused by the design professional, as opposed to the contractor).	No
	Construction Contracts	No	No	Yes	TEX. INS. CODE ANN. § 151.102; *see also* TEX. INS. CODE ANN. § 151.103 which contains an exception for bodily injury/death of employee of indemnitor, its agent, or its subcontractor.	Yes TEX. CODE ANN. § 151.104.
Utah	All construction contracts between owner and another party	No	No	Yes	UTAH CODE ANN. § 13-8-1(1), (2).	No UTAH CODE ANN. § 13-8-1(1), (3); *Meadow Valley Contractors, Inc. v. Transcon. Ins. Co.*, 27 P.3d 594 (Utah Ct. App. 2001) (creating distinction between agreement to personally insure or indemnify and agreement to procure insurance).
	All other construction contracts than those listed above	No	No	No	UTAH CODE ANN. § 13-8-1(1), (3).	No UTAH CODE ANN. § 13-8-1(1), (3); *Meadow Valley Contractors, Inc. v. Transcon. Ins. Co.*, 27 P.3d 594 (Utah Ct. App. 2001) (creating distinction between agreement to personally insure or indemnify and agreement to procure insurance).
Vermont	Non-Specific	Yes	Yes	Yes	No statute. *See Tateosian v. Vermont*, 945 A.2d 833 (Vt. 2007) (allowing indemnification agreement if explicitly stated).	-

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Construction Anti-Indemnity Statutes | 16

State	Contracts Affected	Type of Indemnity Allowed			Statute	Application to Additional Insured
		Sole Negligence of Indemnitee	Concurrent Negligence			
			Full Indemnity	Partial Indemnity		
Virginia	Construction Contracts	No	Yes	Yes	VA. CODE ANN. § 11-4.1.	No VA. CODE ANN. § 11-4.1.
Washington	Construction Contracts	No	No	Yes, only if agreement specifically and expressly provide for this.	WASH. REV. CODE § 4.24.115.	-
West Virginia	Construction Contracts	No	Yes	Yes	W. VA. CODE § 55-8-14	No W. VA. CODE § 55-8-14
Wisconsin	Construction Contracts	Yes	Yes	Yes	No statute. *See Gunka v. Consolidated Papers, Inc.*, 508 N.W.2d 426 (Wis. Ct. App. 1993) (indemnification of sole negligence of indemnitee allowed if provision is clear and unambiguous), *but see* WIS. STAT. § 895.447 (rendering a provision in contract purporting to limit or eliminate tort liability void, though it has been narrowly interpreted); *Gerdmann by Habush v. U.S. Fire Ins. Co.*, 350 N.W.2d 730 (Wis. Ct. App. 1984) (holding indemnity provision in contract did not violate statute and was a question of law).	-
Wyoming	Non-Specific	Yes	Yes	Yes	No statute. S*ee Union Pac. Resources Co. v. Dolenc*, 86 P.3d 1287 (Wyo. 2004) (indemnification agreements allowed if clearly stated).	-

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APPENDIX 8-B

STATE-BY-STATE SURVEY: DEFECTIVE CONSTRUCTION AS AN "OCCURRENCE"

Defective Construction as an "Occurrence"

Standard commercial general liability ("CGL") policies cover bodily injury and property damage caused by an "occurrence," which is in turn defined as an "accident." For claims arising out of defective construction, courts have applied different interpretations of the "occurrence" definition.

There are many nuances among the states on this issue, although generally most fall into one of three analytical camps:

(1) Some states hold that defective or faulty workmanship is an "occurrence," provided the construction contractor did not intend to cause damage. This analytical framework reserves the analysis concerning whether certain aspects or items of damage (for example, the faulty work itself) are uncovered due to exclusionary provisions.

(2) Many states have held that defective or faulty workmanship which causes damage to other work or property is an "occurrence." This framework can often lead to coverage for most damage that results from the faulty work – for example, the cost to replace wet dry wall as a result of faulty window installation. However, the analysis may be complicated by court interpretation of what constitutes "other work or property." For general contractors in some states, the entire construc tion project might be considered their work, leaving them without coverage despite the fact that, at first glance, the case law seems favorable.

(3) Finally, a small number of states find that defective or faulty workmanship is never an "occurrence." Courts taking this approach typically cite to one of two rationales: either the contractor was contractually obligated to provide work free from defect; or the contractor should have foreseen that it would be responsi ble for correcting defects in its work. Courts will often cite to the concept that correcting deficient work is a "business risk" for contractors which is not intended to be covered by insurance.

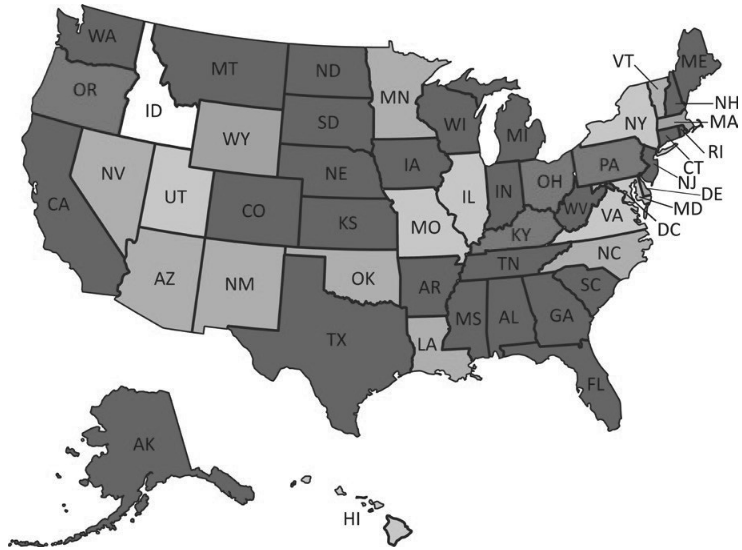
The map on the following page identifies how each state has analyzed the issue of whether defective construction qualifies as an "occurrence." A state colored dark blue indicates that the jurisdiction's highest court has found defective construction to be an "occurrence." These states, almost universally, follow the reasoning set forth in number 1, above. States with statutes to the same effect are likewise shaded dark blue, and the statute identified in the table under Relevant Authority.

A state colored dark red, conversely, indicates that the jurisdiction's highest court has held that defective construction is never an occurrence. These states generally follow the framework set forth in number 3, above.

Light blue and light red shading show trends, based on lower court or federal court authority. In these jurisdictions, courts may take the "middle of the road" approach set out in number 2, above. Often, in these states, whether the insured has coverage is dependent upon other factors, such as whether the court views the entire project as the contractor's work.

Lastly, where caselaw and/or statutes are conflicting or unclear, the state is shaded yellow.

Defective Construction as an "Occurrence" | 3



Defective Construction as an "Occurrence"

Highest Court has found defective construction to be an ocurrence (or by state staute).

Tending toward coverage; only lower state court or federal court authority exists.

Highest Court has found defective construction *not* to be an occurrence.

Tending *against* coverage; only lower state court or federal court authority exists.

Unclear, cases/legislation conflict.

No decision.

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Defective Construction as an "Occurrence" | 4

State	Policyholder Impact	Relevant Authority
Alabama	Favorable	*Owners Ins. Co. v. Jim Carr Homebuilder, LLC,* 157 So. 3d 148 (Ala. 2014).
Alaska	Favorable	*Fejes v. Alaska Ins. Co.*, 984 P.2d 519 (Alaska 1999).
Arizona	Favorable	*Lennar Corp. v. Auto-Owners Inc. Co.*, 151 P.3d 538 (Ariz. Ct. App. 2007).
Arkansas	Favorable	ARK. CODE ANN. § 23-79-155; see also *Essex Ins. Co. v. Holder*, 261 S.W.3d 456 (Ark. 2008); *Lexicon, Inc. v. Ace Am. Ins. Co.*, 634 F.3d 423 (8th Cir. 2011); *J-McDaniel Co., Inc. v. Mid-Continent Cas. Co.*, 761 F.3d 916 (8th Cir. 2014).
California	Favorable	*Hogan v. Midland Nat'l Ins. Co.*, 476 P.2d 825 (Cal. 1970); *Anthem Elecs., Inc. v. Pac. Employers Ins. Co.*, 302 F.3d 1049 (9th Cir. 2002).
Colorado	Favorable	COLO. REV. STAT. § 13-20-808 (2010); *Graystone Constr. Inc. v. Nat'l Fire & Marine Ins. Co.*, 661 F.3d 1272 (10th Cir. 2011).
Connecticut	Favorable	*Capstone Bldg. Corp. v. Am. Motorists Inc. Co.,*67 A.3d 961 (Conn. 2013); *Scottsdale Ins. Co. v. R.I. Pools Inc.*, 710 F.3d 488 (2d Cir. 2013).
Delaware	Unfavorable	*Brosnahan Builders, Inc. v. Harleysville Mut. Ins. Co.*, 137 F. Supp. 2d 517 (D. Del. 2001), *aff'd* 2003 WL 146486 (3rd Cir. Jan. 21, 2003), *but see AE-Newark Assocs., L.P. v. CNA Ins. Companies,* 2001 WL 1198930 (Del. Super. Ct. Oct. 2, 2001).
District of Columbia	Favorable	*Commonwealth Lloyds Ins. Co. v. Marshall, Neil & Pauley, Inc.*, 32 F. Supp.2d 14 (D.D.C 1998).
Florida	Favorable	*U.S. Fire Ins. Co. v. J.S.U.B., Inc.*, 979 So.2d 871 (Fla. 2007); *Auto-Owners Ins. Co. v. Pozzi Window Co.*, 984 So. 2d 1241 (Fla. 2008).

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Defective Construction as an "Occurrence" | 5

State	Policyholder Impact	Relevant Authority
Georgia	Favorable	*Am. Empire Surplus Lines Ins. Co. v. Hathaway Dev. Co., Inc.*, 707 S.E.2d 369 (Ga. 2011); *Taylor Morrison Servs. v. HDI-Gerling Am. Ins. Co.*, 746 S.E.2d 857 (Ga. 2013).
Hawaii	Unclear	HAW. REV. STAT. § 431:1-217 (2011); *Burlington Ins. Co. v. Oceanic Design & Constr., Inc.*, 383 F.3d 940 (9th Cir. 2004); *Group Builders, Inc. v. Admiral Ins. Co.*, 231 P.3d 67 (Haw. 2010); *State Farm Fire & Cas. Co. v. Vogelgesang*, 834 F. Supp. 2d 1026 (D. Haw. 2011); *Evanston Ins. Co. v. Nagano*, 891 F. Supp. 2d 1179 (D. Haw. 2012).
Idaho	No Authority	N/A
Illinois	Unclear	*Acuity Insurance Company v. 950 West Huron Condominium Ass'n*, 2019 IL App (1st) 180743 (3d Dist. 2019); *Milwaukee Mut. Ins. Co. v. J.P. Larsen, Inc.*, 2011 Ill. App (1st) 101316 (2d Dist. 2011); *Lyerla v. AMCO Ins. Co.*, 536 F.3d 684, (7th Cir. 2008); *State Farm Fire & Cas. Co. v. Tillerson*, 334 Ill. App. 3d 404 (5th Dist. 2002); *Pekin Ins. Co. v. Kiefer Landscaping, LLC*, 2014 IL App (5th) 120588-U (2014); *Hartford Cas. Ins. Co. v. Constr. Builders in Motion, Inc.*, 966 F. Supp.2d 777, (N.D. Ill. 2013); *Owners Ins. Co. v. Precision Painting & Decorating Corp.*, 2019 IL App. (1st) 190926-U, 2019 Ill. App. Unpub. Lexis 2425.
Indiana	Favorable	*Sheehan Constr. Co., Inc. v. Cont'l Cas. Co.*, 935 N.E.2d 160 (Ind. 2010).
Iowa	Favorable	*Nat'l Sur. Corp. v. Westlake Invs.*, 880 N.W.2d 724 (Iowa 2016).
Kansas	Favorable	*Lee Builders, Inc. v. Farm Bureau Mut. Ins. Co.*, 137 P.3d 486 (Kan. 2006).
Kentucky	Unfavorable	*Martin/Elias Properties, LLC v. Acuity*, 544 S.W.3d 639 (Ky. 2018), *Cincinnati Ins. Co. v. Motorists Mut. Ins. Co.*, 306 S.W.3d 69 (Ky. 2010); *but see Bituminous Cas. Corp. v. Kenway Contracting Inc.*, 240 S.W.3d 633 (Ky. 2007).
Louisiana	Favorable	*Broadmoor Anderson v. Nat'l Union Fire Ins. Co. of Louisiana*, 912 So.2d 400 (La. Ct. App. 2005); *McMath Constr. Co. v. Dupuy*, 897 So.2d 677 (La. Ct. App. 2005).
Maine	Favorable	*Peerless Ins. Co. v. Brennon*, 564 A.2d 383 (Me. 1989).

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Defective Construction as an "Occurrence" | 6

State	Policyholder Impact	Relevant Authority
Maryland	Unclear	*French v. Assurance Co. of Am.*, 448 F.3d 693 (4th Cir. 2006); *Lerner Corp. v. Assurance Co. of Am.*, 707 A.2d 906 (Md. Ct. Spec. App. 1998); *but see Harbor Court Assocs. v. Kiewit Constr. Co.*, 6 F. Supp. 2d 449 (D. Md. 1998).
Massachusetts	Unfavorable	*Am. Home Assurance Co. v. AGM Marine Contractors, Inc.*, 379 F. Supp. 2d 134 (D. Mass. 2005); *Davenport v. U.S. Fid. & Guar. Co.*, 778 N.E.2d 1038 (Mass. App. Ct. 2002).
Michigan	Favorable	*Skanska USA Building Inc. v. MAP Mechanical Contractors, Inc.,* Docket Nos. 159510-159511, (Mich. 2020); *Radenbaugh v. Farm Bureau Gen. Ins. Co. of Michigan*, 610 N.W.2d 272 (Mich. Ct. App. 2000).
Minnesota	Favorable	*O'Shaughnessy v. Smuckler Corp.*, 543 N.W.2d 99 (Minn. Ct. App. 1996); *Aten v. Scottsdale Ins. Co.*, 511 F.3d 818 (8th Cir. 2008).
Mississippi	Favorable	*Architex Ass'n v. Scottsdale Ins. Co.*, 27 So.3d 1148 (Miss. 2010).
Missouri	Unclear	*D.R. Sherry Constr., Ltd. v. Am. Family Mut. Ins. Co.*, 316 S.W.3d 899 (Mo. 2010); *Columbia Mut. Ins. v. Epstein*, 239 S.W.3d 667 (Mo. Ct. App. 2007); *Village at Deer Creek Homeowners Ass'n, Inc. v. Mid-Continent Cas.Co.*, 432 S.W.3d 231 (Mo. Ct. App. 2014); *but see Am. Family Mut. Ins. Co. v. Mid-American Grain Distrubutors, LLC*, No. 19-2050, 2020 WL 2373986, (8th Cir. May 12, 2020)
Montana	Favorable	*Employers Mut. Cas. Co. v. Fisher Builders, Inc.*, 371 P.3d 375 (Mont. 2016).
Nebraska	Favorable	*Auto-Owners Ins. v. Home Pride Companies.*, 684 N.W.2d 571 (Neb. 2004); *but see Cizek Homes v. Columbia Nat'l Ins. Co.*, 853 N.W.2d 28 (Neb. App. 2014).
Nevada	Favorable	*Gary G. Day Constr. Co. v. Clarendon Am. Ins. Co.*, 459 F. Supp. 2d 1039 (D. Nev. 2006); *Big-D Const. Corp. v. Take it for Granite Too,* 917 F. Supp. 2d 1096 (D. Nev. 2013).
New Hampshire	Favorable	*High Country Assocs. v. New Hampshire Ins. Co.*, 648 A.2d 474 (N.H. 1994); *Webster v. Acadia Ins. Co.*, 934 A.2d 567 (N.H. 2007).
New Jersey	Favorable	*Cypress Point Condo Ass'n, Inc. v. Adria Towers LLC*, 143 A.3d 273 (N.J. 2016).

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Defective Construction as an "Occurrence" | 7

State	Policyholder Impact	Relevant Authority
New Mexico	Favorable	*Pulte Homes of New Mexico, Inc. v. Indiana Lumbermens Ins. Co.*, 367 P.3d 869 (N.M. Ct. App. 2015).
New York	Unclear	*George A. Fuller Co. v. U.S. Fid. & Guar. Co.*, 613 N.Y.S.2d 152 (N.Y. App. Div. 1994); *J.Z.G. Resources, Inc. v. King*, 987 F.2d 98 (2d Cir. 1993); *Transp. Ins. Co. v. AARK Constr. Group*, 526 F. Supp. 2d 350 (E.D.N.Y. 2007); *but see Black & Veatch Corp. v. Aspen Ins. (Uk) Ltd.*, 882 F.3d 952, 954 (2018)
North Carolina	Favorable	*ABT Bldg. Prods. Corp. v. Nat'l Union Fire Ins. Co.*, 472 F.3d 99 (4th Cir. 2006); *Travelers Indem. Co. v. Miller Bldg. Corp.*, 97 Fed. Appx. 431 (4th Cir. 2004).
North Dakota	Favorable	*ACUITY v. Burd & Smith Contr., Inc.*, 2006 ND 187, 721 N.W.2d 33 (2006); *K&L Homes, Inc. v. Am. Family Mut. Ins. Co.*, 2013 ND 57, 829 N.W.2d 724 (2013).
Ohio	Unfavorable	*Ohio Northern University v. Charles Construction Services, Inc.*, 155 Ohio St.3d 197, 120 N.E.3d 762 (Ohio 2018); *Westfield Ins. Co. v. Custom Agri Sys., Inc.*, 2012 Ohio 4712, 979 N.E.2d 269 (Ohio 2012); *Allied Roofing, Inc. v. W. Reserve Group*, 2013 Ohio 1637 (2013).
Oklahoma	Favorable	*Employers Mut. Cas. Co. v. Grayson,* 2008 WL 2278593 (W.D. Okla. 2008); *Essex Ins. Co. v. Sheppard & Sons Constr.*, 2015 WL 4132919 (W.D. Okla. 2015); *MTI, Inc. v. Emplrs. Ins. Co. of Wausau,* 913 F.3d 1245 (10th Cir. 2019).
Oregon	Unfavorable	*Oak Crest Constr. Co. v. Austin Mut. Ins. Co.*, 998 P.2d 1254 (Or. 2000); *Wilmar Dev., LLC v. Illinois Nat'l Ins. Co.*, 726 F. Supp. 2d 1280 (D. Or. 2010).
Pennsylvania	Unfavorable	*MMG Ins. Co. v. Floor Assocs.*, 2017 WL 3394619 (E.D. Pa. Aug. 8, 2017), *Kvaerner Metals Division of Kvaerner U.S., Inc. v. Commercial Union Ins. Co.*, 908 A.2d 888 (Pa. 2006); *Millers Capital Ins. Co. v. Gambone Bros. Dev. Co.*, 941 A.2d 706 (Pa. Super. Ct. 2008); *Indalex Inc. v. Nat'l Union Fire Ins. Co.*, 83 A.3d 418 (Pa. Super. Ct. 2013).
Rhode Island	Favorable	*General Acc. Ins. Co. of America v. American Nat. Fireproofing, Inc.*, 716 A.2d 751 (RI 1998); *Aetna Cas. & Sur. Co. v. Consulting Envtl. Engineers, Inc.*, 1989 WL 1110231 (R.I. Super. Ct. June 20, 1989).
South Carolina	Favorable	S.C. CODE ANN. § 38-61-70, *Harleysville Mut. Ins. Co. v. State*, 736 S.E.2d 651 (Nov. 21, 2012); *Crossman Communities of N. Carolina, Inc. v. Harleysville Mut. Ins. Co.*, 717 S.E.2d 589 (S.C. 2011).
South Dakota	Favorable	*Corner Constr. Co. v. U.S. Fid. & Guar. Co.*, 2002 SD 2, 638 N.W.2d 887.

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State	Policyholder Impact	Relevant Authority
Tennessee	Favorable	*Travelers Indem. Co. of Am. v. Moore & Assocs.*, 216 S.W.3d 302 (Tenn. 2007).
Texas	Favorable	*Lamar Homes, Inc. v. Mid-Continent Cas. Co.*, 242 S.W.3d 1 (Tex. 2007).
Utah	Unclear	*H.E. Davis & Sons, Inc. v. N. Pac. Ins. Co.*, 248 F. Supp. 2d 1079 (D. Utah 2002); *Cincinnati Ins. Co. v. Linford Bros. Glass Co.*, 2010 WL 520490 (D. Utah Feb. 9, 2010); *but see Great Am. Ins. Co. v. Woodside Homes Corp.*, 448 F. Supp. 2d 1275 (D. Utah 2006).
Vermont	Favorable	*Transcont'l Ins. Co. v. Engelberth Constr., Inc.*, 2007 WL 3333465 (D. Vt. Nov. 8, 2007).
Virginia	Unclear	*Stanley Martin Cos. v. Ohio Cas. Group*, 313 Fed. Appx. 609 (4th Cir. 2009); *but see Hotel Roanoke Conference Ctr. Comm'n v. Cincinnati Ins. Co.*, 303 F. Supp. 2d 784 (W.D. Va. 2004), aff'd 119 Fed. Appx. 451 (4th Cir. 2005); *Travelers Indem. Co. of Am. v. Miller Bldg. Corp.*, 142 Fed. Appx. 147 (4th Cir. 2005).
Washington	Favorable	*Yakima Cement Prods. Co. v. Great Am. Ins. Co.*, 608 P.2d 254 (Wash. 1980).
West Virginia	Favorable	*Cherrington v. Erie Ins. Prop. & Cas. Co.*, 745 S.E.2d 508 (W. Va. 2013).
Wisconsin	Favorable	*Am. Family Mut. Ins. Co. v. Am. Girl, Inc.*, 673 N.W.2d 65 (Wis. 2004).
Wyoming	Unfavorable	*Great Divide Ins. Co. v. Bitterroot Timberframes of Wyoming, LLC*, 2006 WL 3933078 (D. Wyo. Oct. 20, 2006).